Block practice · Globalisation, free trade and protection

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Globalisation: what it means and what drives it

Free trade: meaning, gains, losses and trade patterns

Multinationals and FDI: why firms invest abroad, gains and costs

Tariffs, quotas and subsidies: how they protect, gains and costs

Draw a tariff, subsidy or indirect tax change

Draw the effect of an import quota

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Practice workbook · Globalisation: what it means and what drives it

What globalisation means (growing integration and interdependence of national economies) and why it has increased: fewer tariffs and quotas, cheaper transport, cheaper communication and the growing importance of MNCs.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-01

1. Question 2 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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1. Question 2 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

In December 2019 the unemployment rate in Venezuela was approximately 44%. This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

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By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

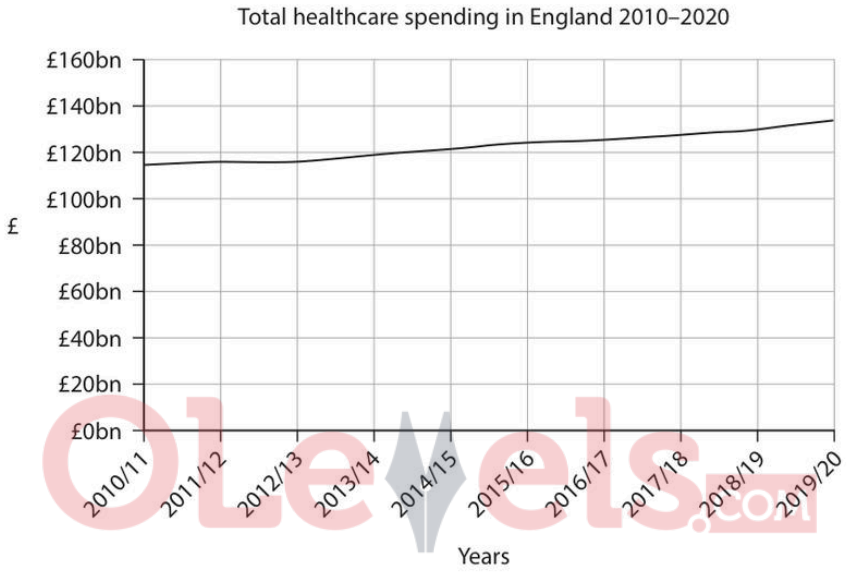
(3)

1. Question 2 · part f · 3 marks

2021 NOV · Paper 02

Worked-example retry · Attempt part f only.

Total healthcare spending in England was £129bn in 2018–2019 and was expected to rise to nearly £134bn by 2019–2020. Access to healthcare is free in England.



(Source adapted from: https://fullfact.org/health/spending-english-nhs/)

Figure 2

(g) With reference to the data above and your knowledge of economics, assess the use of investment in healthcare to reduce the level of inequality and poverty in a country such as England.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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P 6 0 7 4 8 A 0 2 2 4

2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

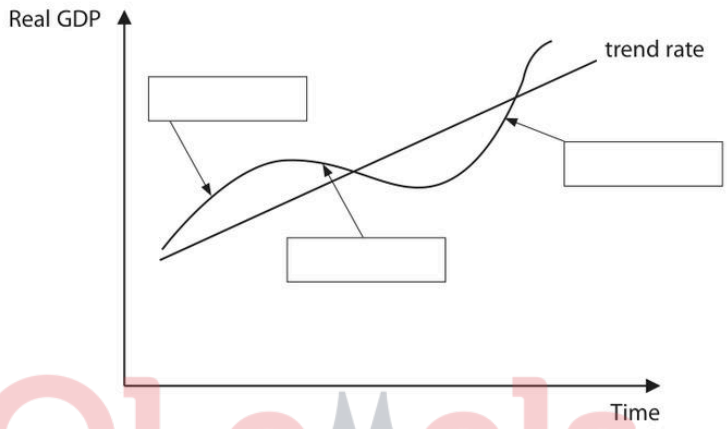

Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.

The World Trade Organisation (WTO) has estimated that improvements in ship containerisation have lowered sea transportation costs by over 70%. Air-freight costs have fallen by a similar amount.

(h) Analyse how the reduced cost of transport has contributed to the increase in globalisation.

(6)

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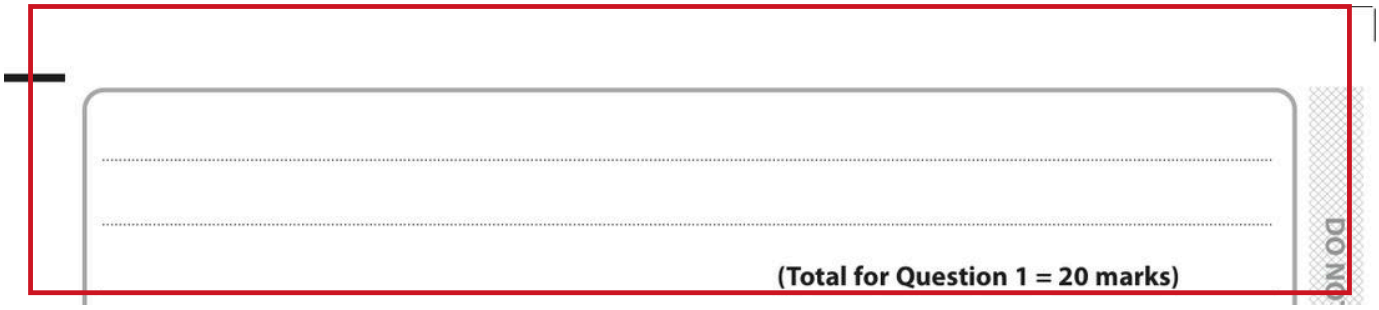
3. Question 1 · part h · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part h only.



Working and answer

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4. Question 2 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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4. Question 2 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

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Turn over ▶

4. Question 2 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

In 2019, Germany was considering increasing the tax on meat to protect the environment and improve animal welfare. Currently meat in Germany has a reduced tax rate of 7%. Some political groups are arguing that this should increase to the standard 19%. According to United Nations research, methane from animals accounts for 14.5% of greenhouse gas emissions – more than the direct emissions from transport.

(Source adapted from: https://www.independent.co.uk/environment/german-meat-tax-environment-animal-welfare-a9045271.html)

(g) With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany.

(9)

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4. Question 2 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

(d) What is meant by the term recovery?

(2)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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6. Question 1 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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7. Question 2 · part b · 1 mark · Working and answer

Working and answer

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8. Question 1 · part d · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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8. Question 1 · part d · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

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P 7 5 9 5 5 A 0 3 2 8

8. Question 1 · part d · 2 marks · Working and answer

Working and answer

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9. Question 1 · part a · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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9. Question 1 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

In 2024, a new childcare subsidy was offered to working parents in Northern Ireland.

(c) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

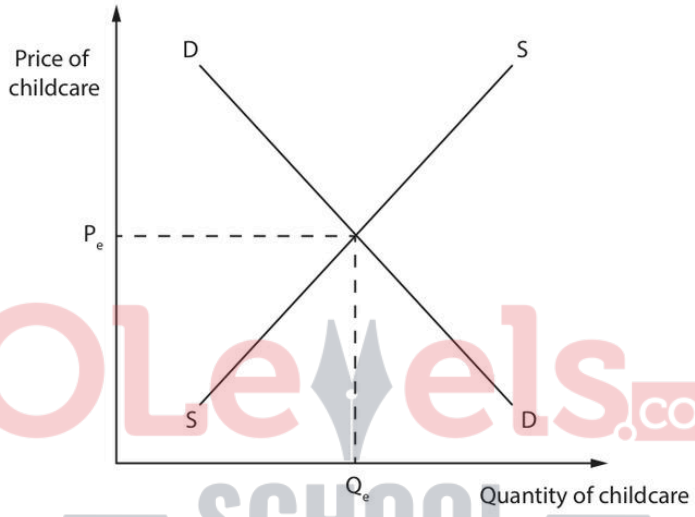

Figure 3

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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Globalisation has transformed the world. Centuries ago, it brought exotic spices and goods from distant parts of the globe. More recently, it has allowed people to work, communicate and travel more easily. Fewer tariffs and quotas are one of the reasons for an increase in globalisation.

(d) With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.

(6)

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10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

10. Question 3 · part d · 6 marks

2025 NOV · Paper 02

Further practice · Attempt part d only.

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Levi Strauss & Co, a multinational corporation (MNC), has committed to achieving net-zero greenhouse gas emissions by 2050. As part of this goal, the company has introduced innovative water-saving manufacturing processes. One such initiative has saved nearly 13 billion litres of water over nine years.

In 2011, Levi Strauss & Co created a worker wellbeing programme. This provides health education, family welfare programmes and financial empowerment for its clothing workers in its 118 factories across 16 countries.

(e) With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate.

(9)

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10. Question 3 · part d · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Free trade: meaning, gains, losses and trade patterns

Trade without barriers and its effects (lower prices and more choice, cheaper inputs, wider markets, against foreign competition hurting domestic firms and jobs), the effects of cutting or removing tariffs generally, and the typical trade patterns of developed and developing countries.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-04

1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

The Regional Comprehensive Economic Partnership (RCEP) is the world's largest free trade agreement. It accounts for nearly 30% of global gross domestic product (GDP) and has 15 member countries.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.

(6)

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1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

1. Question 3 · part d · 6 marks

2023 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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Figures from the Office for National Statistics (ONS) showed that the unemployment rate in the North East of England increased to 5.3% in the three months to the end of October 2021.

Output fell significantly in this area of England and business confidence was severely harmed. There was some positive news with the number of people claiming unemployment benefits in the North East of England falling by around 3,500 to 87,780.

(Source: https://www.chroniclelive.co.uk/news/news-opinion/unemployment-rises-north-east-concerns-22452309)

(e) With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

4 Figure 4 shows the tariff on clothing imported into China in 2018.

Product	Imported Price yuan (¥)	Tariff (%)
Clothing	225	8

Figure 4

(a) Calculate the final selling price of clothing in yuan (¥) after the tariff has been added. You are advised to show your working.

(2)

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

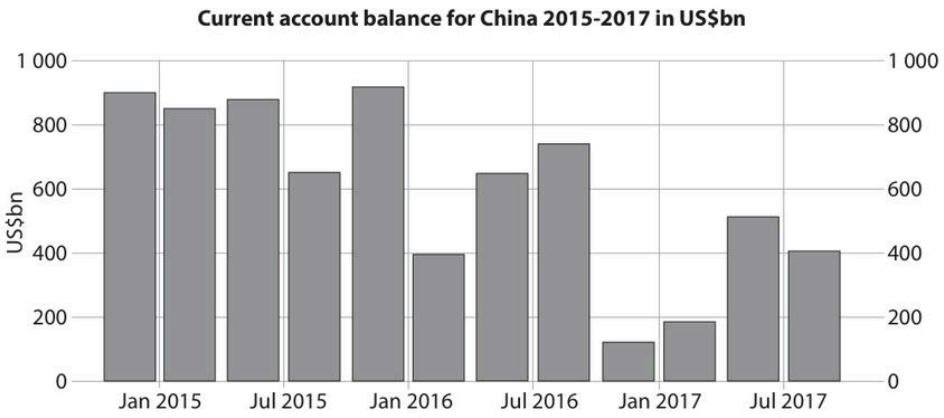

Figure 5

(Source: adapted from https://tradingeconomics.com/china/current-account)

(b) Analyse the benefits of a current account surplus for a country such as China. (6)

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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Following a trip to Asia in 2017 by US President Donald Trump, China has reduced tariffs from 17.3% to 7.7% on over 200 consumer products. These include pharmaceuticals, food, health supplements and clothing.

Many multinational corporations may have major financial gains. Nestle's sales could increase by 15% or $18.7bn because of the reduction in tariffs. Procter & Gamble, will also benefit from tariff reductions on items ranging from shampoos to electronic toothbrushes.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits of reducing the level of tariffs on imported goods and services to China.

(12)

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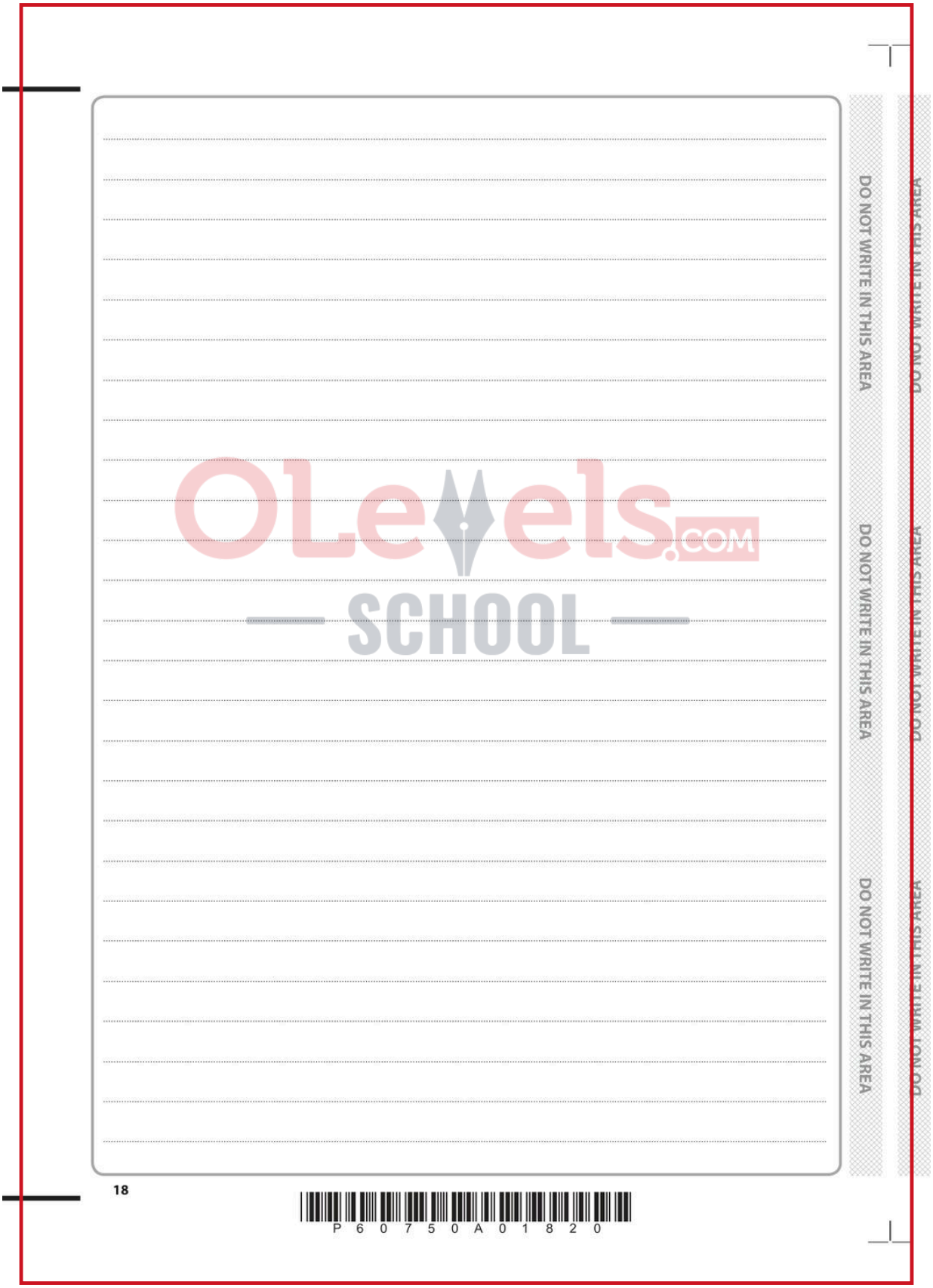
2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

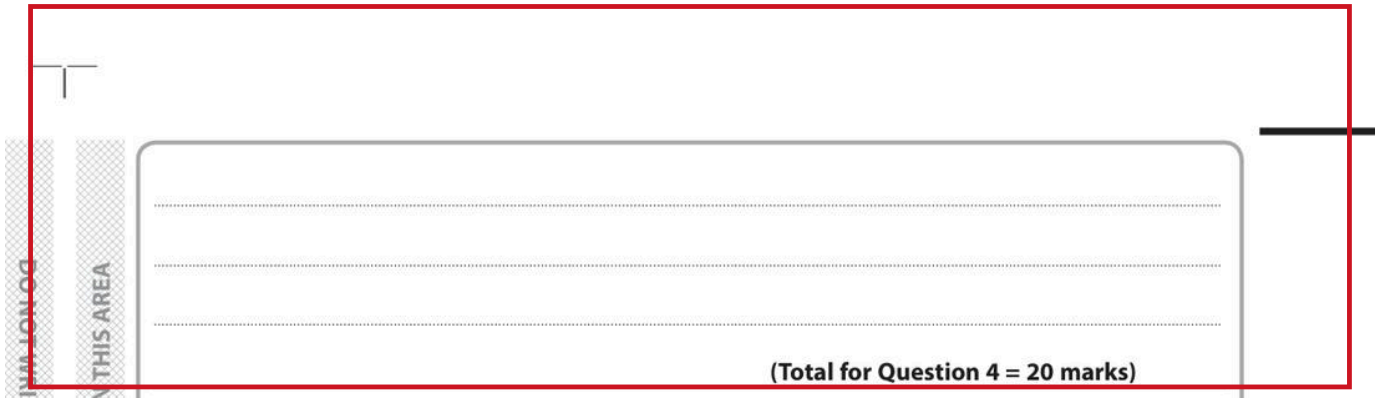
Further practice · Attempt part c only.



2. Question 4 · part c · 12 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.



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2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 JAN · Paper 02 (regional R)

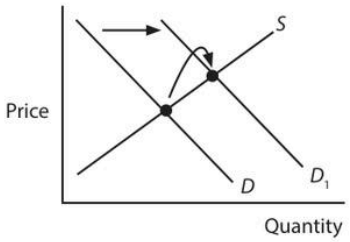
Further practice · Attempt part b only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

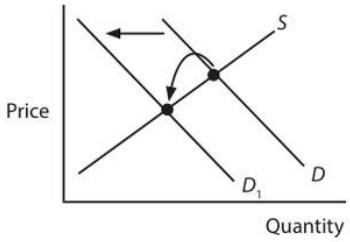
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

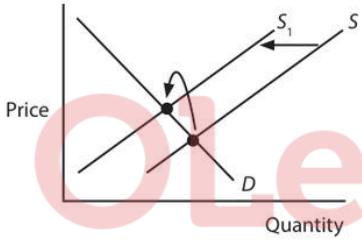
☒ **A**



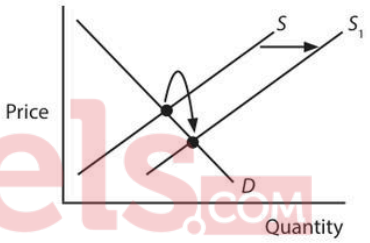
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part b · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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P 5 8 3 8 5 A 0 9 2 4

9

Turn over ▶

3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

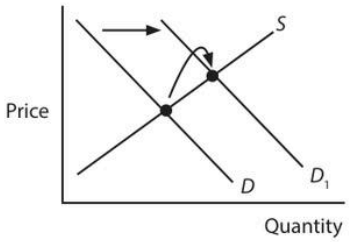
Further practice · Attempt part f only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

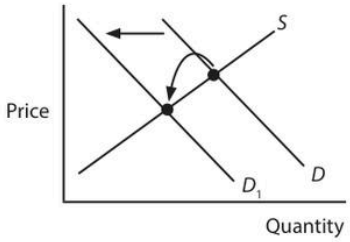
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

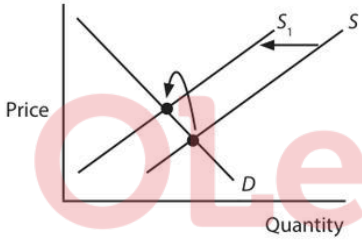
☒ **A**



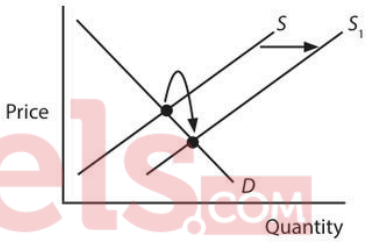
☒ **B**



☒ **C**



☒ **D**



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4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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P 5 8 3 8 5 A 0 9 2 4

4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

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P 5 8 3 8 5 A 0 1 0 2 4

4. Question 2 · part f · 3 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

Since 2016, 24 Japanese multinational corporations (MNCs) have invested in Bangladesh. This takes the total to 269 Japanese MNCs in Bangladesh. Low wages and the low cost of production are the main reasons for locating in Bangladesh. The cost of production is four times higher in China compared to Bangladesh.

Investments in Bangladesh have been made by Japanese automobile firm Honda and steel manufacturer Nippon Koei. Nippon Koei has invested $59.19m and recruited 2,500 employees to work in its steel factories.

(g) With reference to the data above and your knowledge of economics, assess the benefits that MNCs bring to a country such as Bangladesh.

(9)

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P 5 8 3 8 5 A 0 1 1 2 4

11

Turn over

4. Question 2 · part f · 3 marks · Working and answer

Working and answer

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5. Question 1 · part a · 1 mark

2020 JAN · Paper 02

Further practice · Attempt part a only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part d · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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6. Question 1 · part d · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

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6. Question 1 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

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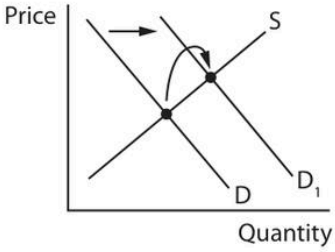
2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

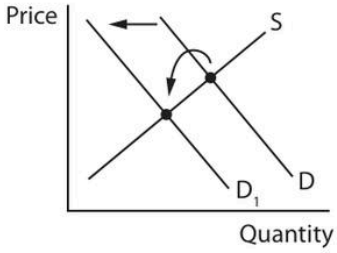
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

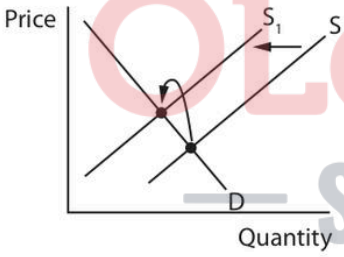
☒ **A**



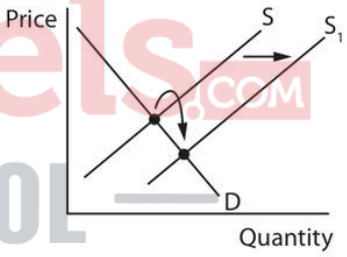
☒ **B**



☒ **C**



☒ **D**



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7. Question 2 · part c · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part c only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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7. Question 2 · part c · 1 mark · Working and answer

Working and answer

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8. Question 2 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

(d) What is meant by the term free trade?

(2)

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8. Question 2 · part d · 2 marks

2021 JUN · Paper 02

Further practice · Attempt part d only.

In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

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Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

8. Question 2 · part d · 2 marks · Working and answer

Working and answer

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In 2020, the UK Government introduced subsidies for firms that provide renewable energy.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

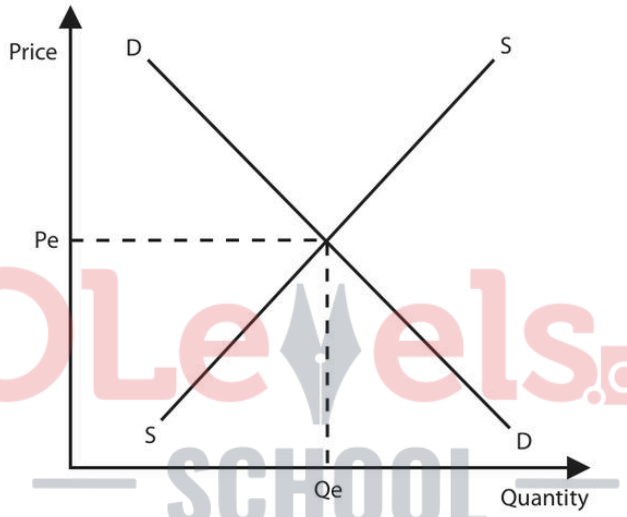

Figure 1

In March 2020, the Bank of England reduced interest rates from 0.75% to 0.10%. This decision affected the UK pound (£).

(g) Explain the likely impact of a decrease in UK interest rates on the UK pound (£).

(3)

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9. Question 1 · part h · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part h only.

In March 2020, the European Union (EU) and Vietnam reached a free trade agreement.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for domestic businesses located within this free trade area.

(6)

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(Total for Question 1 = 20 marks)

9. Question 1 · part h · 6 marks · Working and answer

Working and answer

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) Globalisation results in increasing

(1)

- ☒ **A** levels of debt for all national economies
- ☒ **B** protectionism amongst national economies
- ☒ **C** amounts of legislation for national economies
- ☒ **D** integration and interdependence of national economies

(b) Which **one** of the following is a possible impact of economic growth?

(1)

- ☒ **A** An increase in unemployment
- ☒ **B** An increase in environmental damage
- ☒ **C** A reduction in investment
- ☒ **D** A reduction in tax revenues

(c) State **one** type of unemployment.

(1)

(d) What is meant by the term recovery?

(2)

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

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Nigeria's rate of inflation increased to 12.2% in February 2020. A rise in the price of food products, such as bread and meat, was the main reason for the increase.

(e) Explain **one** impact of rising inflation on shoe leather costs in Nigeria.

(3)

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for the UK pound (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects on the exchange rate of the UK pound (£) from an increase in UK exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

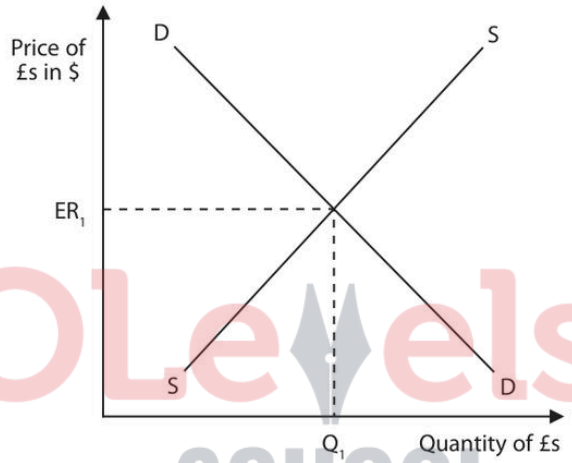

Figure 3

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10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.

After nearly 20 years of negotiations, the European Union (EU) and Mercosur, the South American trading bloc, have agreed a draft trade deal. It would create the largest free trade area in the world consisting of 770 million people. The two blocs currently trade more than €88bn in goods and €34bn in services every year.

The EU would eventually end 92% of the tariffs on Mercosur imports. Mercosur would gradually remove its tariffs on 91% of EU goods, which amounts to €4bn. This includes removing the tariffs on clothing, chemicals, wine and canned peaches. Mercosur farmers would be allowed to export a specific quantity of beef, sugar and chicken at a lower tariff rate to the EU each year.

(Source: https://www.dw.com/en/eu-mercosur-free-trade-deal-what-you-need-to-know/a-49414103)

(g) With reference to the data above and your knowledge of economics, assess the advantages of free trade for firms located within the EU.

(9)

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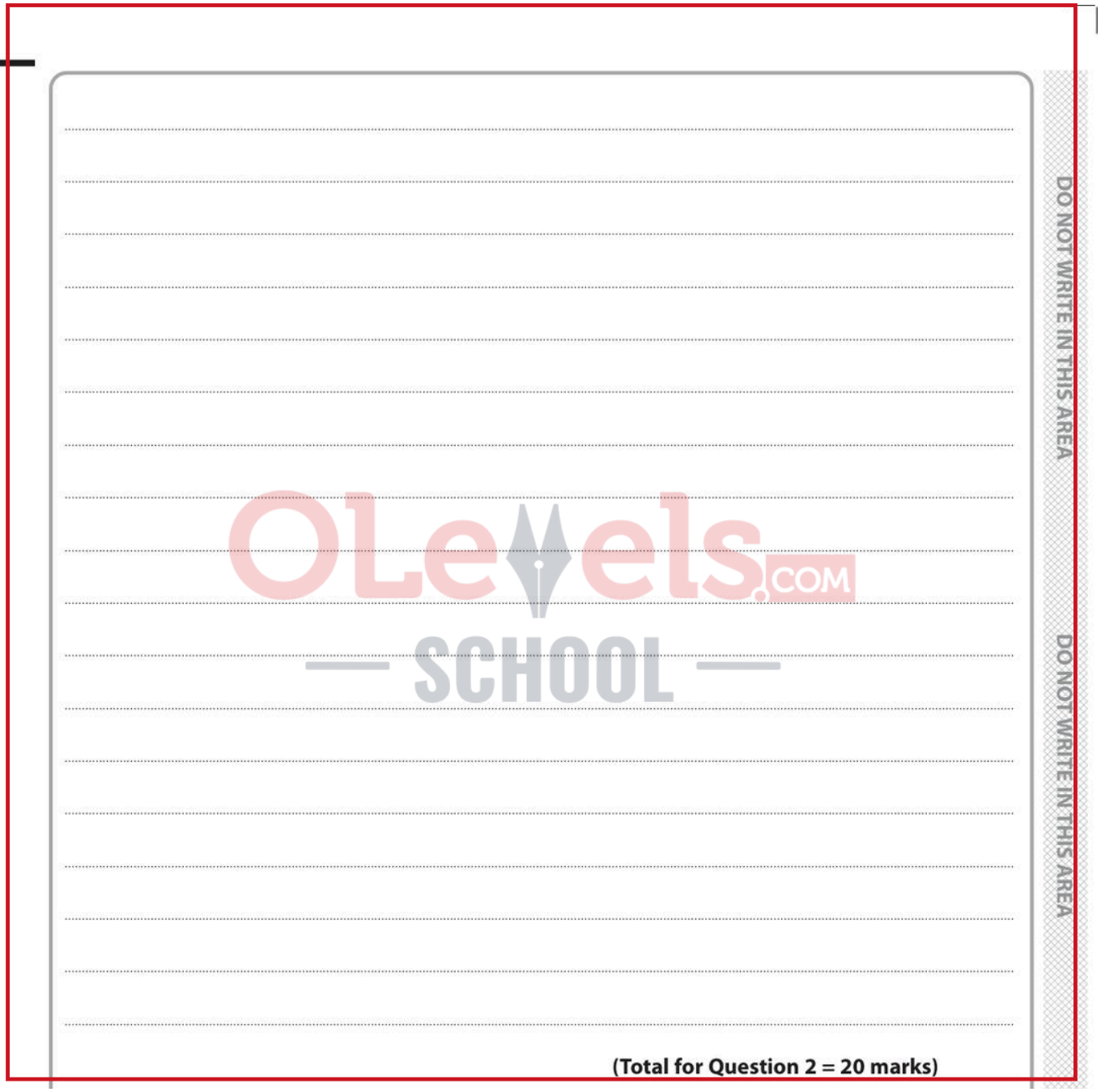
10. Question 2 · part g · 9 marks

2022 JUN · Paper 02

Further practice · Attempt part g only.



10. Question 2 · part g · 9 marks · Working and answer

Working and answer

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11. Question 2 · part c · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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11. Question 2 · part c · 1 mark · Working and answer

Working and answer

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12. Question 1 · part d · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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12. Question 1 · part d · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part d only.

(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

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12. Question 1 · part d · 2 marks · Working and answer

Working and answer

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13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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P 7 4 0 5 8 R A 0 1 3 2 4

13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

In December 2021, the UK and Australia signed a free trade agreement. The agreement will remove 99% of the tariffs on imports from Australia.

(d) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for UK firms.

(6)

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13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

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13. Question 3 · part d · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part d only.

The Shetland Islands are part of Scotland. Shetland College is the only Further Education college located in the Shetland Islands. It was privatised in August 2021. The managers at the college claim privatisation will improve educational and training opportunities on the Shetland Islands.

Critics claim it could negatively impact staff contracts and working conditions. It may reduce the number of courses available to students and allow managers at the college to award themselves much higher levels of pay.

(Source: https://www.thenational.scot/news/19483135.campaigners-unions-issue-warning-shetland-college-privatisation/)

(e) With reference to the data above and your knowledge of economics, assess the possible benefits of privatising the college.

(9)

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13. Question 3 · part d · 6 marks · Working and answer

Working and answer

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14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

OLevels.COM SCHOOL

14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

In January 2023, China introduced a tariff on imports of large tyres.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

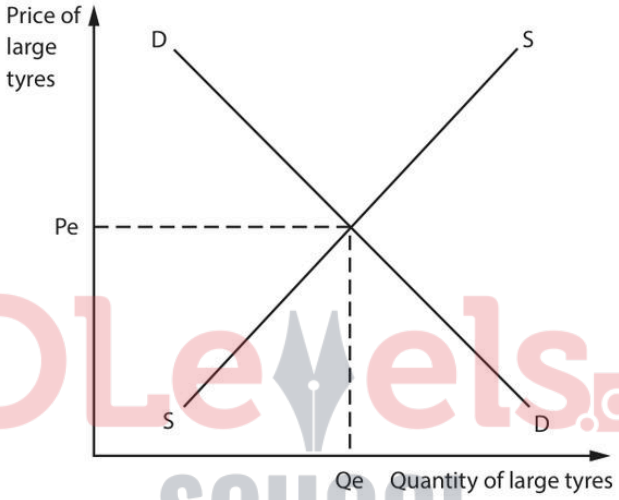

Figure 1

In January 2023, China and Ecuador announced they would be signing a free trade agreement after a year of negotiations. The deal is expected to boost Ecuador's exports of shrimp, bananas, flowers, cocoa and coffee to China.

(g) Explain **one** advantage of free trade for businesses in Ecuador.

(3)

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P 7 3 4 9 9 R A 0 4 2 4

14. Question 1 · part g · 3 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

Inflation in Germany reached a record annual rate of 10.4% in October 2022. It is predicted to remain high for another two years.

(h) With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany.

(6)

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(Total for Question 1 = 20 marks)

14. Question 1 · part g · 3 marks · Working and answer

Working and answer

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 5 shows the adult entry fee into the Corcovado National Park in Costa Rica and the current exchange rate between the British pound (£) and the Costa Rican colón (CRC).

Entry fee for 1 adult	1 600 CRC
Exchange rate: £ to CRC	£1 = 672 CRC

Figure 5

(a) Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.

(2)

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Costa Rica is a developing country that relies on the export of agricultural commodities such as coffee, bananas, pineapples and vegetables. In 2022, exports from Costa Rica to the UK were valued at £516m. Vegetables and fruit accounted for 73.4% of all goods exported to the UK from Costa Rica.

(b) With reference to the data above and your knowledge of economics, analyse how the trade patterns may differ between a developed and a developing country.

(6)

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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15. Question 4 · part b · 6 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Costa Rica has 5% of the world's wildlife species but it occupies only 0.03% of the earth's surface. Costa Rica takes pride in having 30 national parks with more than 25% of the territory of Costa Rica marked for conservation.

National parks have economic value to both national and local economies. Costa Rica takes advantage of the growing demand by tourists visiting these national parks by charging an entry fee. National Parks contribute almost $2bn to the Costa Rican economy. 122,465 tourists visited national parks in Costa Rica in the last two weeks of 2021.

Local economies near the national parks benefit from the creation of jobs and the increased expenditure by tourists on hotels, local shops, guides, restaurants and tours.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of the government providing national parks to protect the environment in a country such as Costa Rica.

(12)

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15. Question 4 · part b · 6 marks · Working and answer

Working and answer

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

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The World Health Organization estimates that 4.5 billion people are classed as being in poverty because they do not have access to essential healthcare.

(e) Explain **one** way government provision of healthcare can help to reduce poverty.

(3)

OLevels.COM — SCHOOL —

16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

Figure 3 shows the supply of and demand for UK pounds (£) against the US dollar ($). Currency speculators think the value of the UK pound (£) is going to rise in the future.

(f) Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

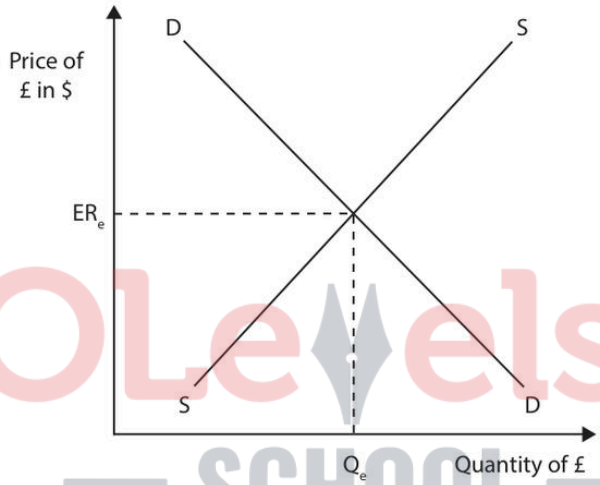

Figure 3

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P 7 2 1 3 4 A 0 1 0 2 8

16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

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In September 2023, South Korea signed a free trade agreement (FTA) with the Philippines. This removed a 5% import tariff on South Korean cars and a 30% import tariff on South Korean car parts.

The Philippines has the 12th largest population in the world and is one of the biggest car and car parts importers. In 2023, the total number of car sales in the Philippines was 366,000.

South Korean-made cars account for 2.5% of the Philippine car market. It is dominated by Japanese-made cars, which have an 82.5% market share.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines.

(9)

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16. Question 2 · part g · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

16. Question 2 · part g · 9 marks · Working and answer

Working and answer

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

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(d) Describe **one** advantage of privatisation for a consumer.

(2)

A country has a labour force of 4.3 million with 550,000 people unemployed.

(e) Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working.

(2)

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

Figure 1 shows the supply of and demand for UK pounds (£) and the equilibrium exchange rate against the euro (€).

(f) Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

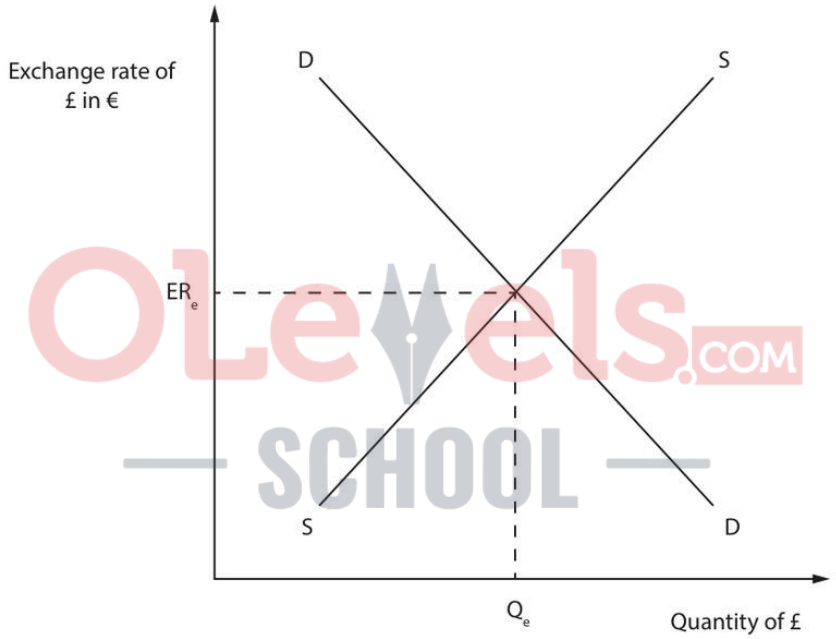

Figure 1

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P 7 8 9 6 3 A 0 4 2 8

17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

In March 2024, after 15 years of negotiations, India announced a free trade agreement with four European countries: Switzerland, Iceland, Norway and Liechtenstein. The free trade agreement is expected to create one million jobs over the coming years.

(g) Explain **one** advantage of free trade for a business in a country such as Iceland.

(3)

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17. Question 1 · part g · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part g only.

The South Korean Government is to introduce deregulation to boost the growth of industries, such as artificial intelligence (AI) and biotechnology. The country will create a regulation-free zone where firms can develop technologies without any barriers.

(h) With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea.

(6)

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17. Question 1 · part g · 3 marks · Working and answer

Working and answer

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Practice workbook · Multinationals and FDI: why firms invest abroad, gains and costs

What an MNC and FDI are, why firms set up abroad (scale economies, resources, cheap inputs, lower transport/communication costs, new customers), and the advantages and disadvantages for host countries.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-03

1. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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3 (a) Cost-push inflation is most likely to result from an increase in **(1)**

- ☒ **A** the rate of income tax
- ☒ **B** productivity
- ☒ **C** wage rates
- ☒ **D** government spending

(b) Monetary policy would involve changes in which one of the following? **(1)**

- ☒ **A** Government spending
- ☒ **B** Interest rates
- ☒ **C** Taxation
- ☒ **D** Balance of payments

The consumption of avocados in the US used to be restricted to the summer months when farmers in California harvested their crops. Now avocados are available all year and 90% are imported from Mexico.

(c) Explain **one** way globalisation has affected consumers in the US. **(3)**

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1. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

In August 2018, Mondelez, a food and beverage multinational corporation (MNC), opened its first factories in Bangladesh. Previously, Mondelez had been exporting its products into Bangladesh for 15 years.

(d) Analyse why a MNC, such as Mondelez, might want to invest in Bangladesh.

(6)

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1. Question 3 · part d · 6 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

Indonesia's Economic Minister Darmin Nasution said that the current account deficit would reach 3% of gross domestic product (GDP) by the end of 2018.

"Yes, it is a bit high, but nothing to worry about. The deficit in 2014 was even higher," said Darmin Nasution.

Meanwhile, senior economist Faisal Basri called on the government to take the growing current account deficit as a serious matter because it could have negative effects on the economy.

(e) With reference to the data above and your knowledge of economics, assess the impact of a current account deficit for a country such as Indonesia.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

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P 6 0 7 5 0 A 0 3 2 0

2. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

In October 2017 the currency of the Philippines, the peso, fell to its lowest level against the US dollar in more than 11 years.

(e) Explain **one** advantage of having a depreciating currency for an economy such as the Philippines.

(3)

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3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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According to the UN there are now over 63,000 multinational corporations (MNCs) and the number is growing daily. Many well-known MNCs, including PepsiCo, the Tata Group and Microsoft, are expanding in India.

(f) Explain **one** possible reason for the emergence of MNCs in a country such as India.

(3)

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P 6 0 7 4 8 A 0 9 2 4

9

Turn over ▶

3. Question 2 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

The Association of South East Asian Nations (ASEAN) is a trade bloc. It was set up in 1967 by Indonesia, Malaysia, the Philippines, Singapore and Thailand. Later it was joined by Brunei, Laos, Vietnam, Myanmar and Cambodia and became a 10 member trading bloc in 2016.

1967 ASEAN-5 (Indonesia, Malaysia, the Philippines, Singapore and Thailand)		2016 ASEAN-10 (Brunei, Laos, Vietnam, Myanmar, Cambodia, Indonesia, Malaysia, the Philippines, Singapore and Thailand)
185 Million	Population	**634** Million
2 950 Thousand Km²	Land	**4 326** Thousand Km²
56 Years	Life Expectancy	**71** Years
$122 Current Prices (US)	GDP/Capita	**$4 021** Current Prices (US)
$9 707 Million (US)	Trade	**$2 218 534** Million (US)

Figure 2

(Source: adapted from https://www.fwd.news/50-years-major-regional-trading-bloc-looks-closer-cooperation/)

(g) With reference to the data above and your knowledge of economics, assess the benefits for a country, such as Thailand, of being a trade bloc member.

(9)

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P 6 0 7 4 8 A 0 1 0 2 4

3. Question 2 · part f · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

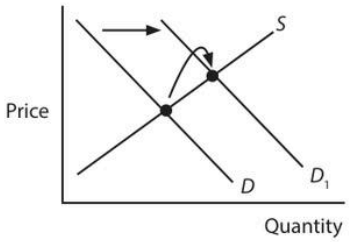
Further practice · Attempt part g only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

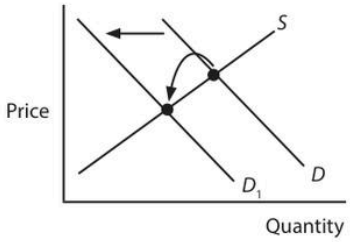
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

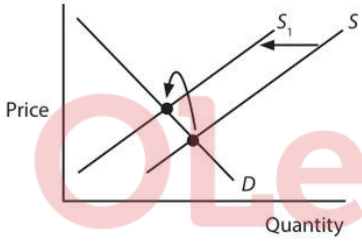
☒ **A**



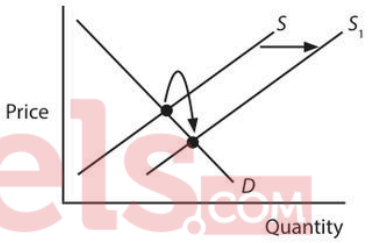
☒ **B**



☒ **C**



☒ **D**



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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

India set a target for its fiscal deficit of 3.3% of its GDP for the year ending March 2019.

(e) Explain **one** reason why the Indian Government's fiscal deficit is likely to stimulate economic growth.

(3)

In 2017, the tertiary sector contributed 69.3% to Germany's GDP and the secondary sector contributed 30.1%. In comparison, the primary sector only accounted for 0.6% of GDP.

(f) Explain a typical trade pattern for a developed country such as Germany.

(3)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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Since 2016, 24 Japanese multinational corporations (MNCs) have invested in Bangladesh. This takes the total to 269 Japanese MNCs in Bangladesh. Low wages and the low cost of production are the main reasons for locating in Bangladesh. The cost of production is four times higher in China compared to Bangladesh.

Investments in Bangladesh have been made by Japanese automobile firm Honda and steel manufacturer Nippon Koei. Nippon Koei has invested $59.19m and recruited 2,500 employees to work in its steel factories.

(g) With reference to the data above and your knowledge of economics, assess the benefits that MNCs bring to a country such as Bangladesh.

(9)

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P 5 8 3 8 5 A 0 1 1 2 4

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Turn over ▶

4. Question 2 · part g · 9 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

4. Question 2 · part g · 9 marks · Working and answer

Working and answer

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5. Question 3 · part c · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

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3 (a) Which **one** of the following is likely to be a trade-off as a result of increased economic growth?

(1)

- ☒ **A** Increased employment
- ☒ **B** Increased inflation
- ☒ **C** Higher standards of living
- ☒ **D** Higher fiscal surplus

(b) Which type of taxation has a higher proportion of income paid as income rises?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Business
- ☒ **D** Value added tax (VAT)

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5. Question 3 · part c · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

Palm oil is used in food and cosmetics. Palm plantations are a major agricultural activity in Indonesia. Many of the plantations are owned by foreign multinational corporations (MNCs).

(c) Explain **one** advantage for Indonesia of the palm oil plantations being owned by foreign MNCs.

(3)

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5. Question 3 · part c · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part c only.

In 2018, Italy entered a recession after the country's manufacturing sector decreased for the third month in a row. Gross domestic product (GDP) fell by 0.1% from July to September.

(d) Analyse the impact on unemployment of a recession in a country such as Italy.

(6)

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5. Question 3 · part c · 3 marks · Working and answer

Working and answer

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term dumping?

(2)

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

In 2019, Hungary introduced a subsidy on new cars for families with three or more children.

(f) Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

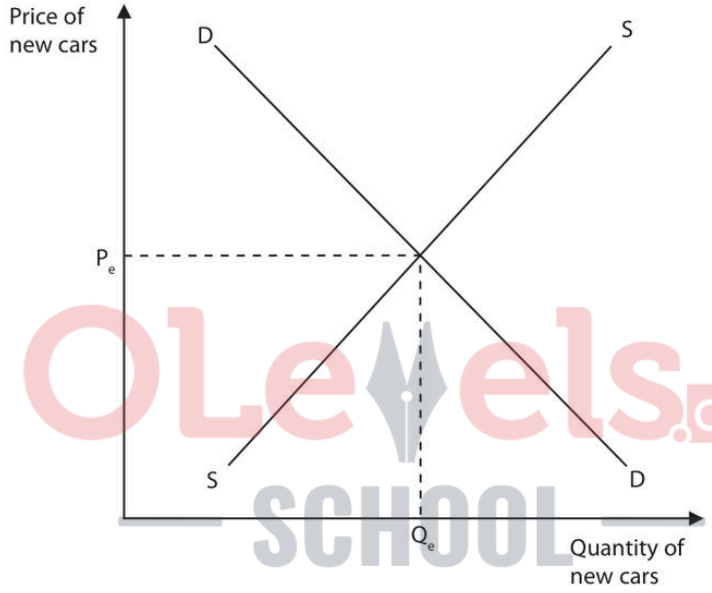

Figure 2

The UK has 13 national parks with the Lake District National Park being the largest and most popular. It had over 19.17 million visitors in 2018. Woodland covers over 12% of the national park.

(g) Explain **one** benefit to the UK Government of providing parks.

(3)

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6. Question 1 · part h · 6 marks

2021 JUN · Paper 02

Further practice · Attempt part h only.

According to a survey from accounting firm EY, foreign direct investment (FDI) into Ireland increased by 52% in 2018.

(h) With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part h · 6 marks · Working and answer

Working and answer

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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4 Figure 4 shows the amount of foreign direct investment (FDI) India received from 2016–2019.

Year	FDI ($bn)
2016	45.14
2017	55.55
2018	60.98
2019	64.37

Figure 4

(Source adapted from: https://www.businesstoday.in/current/economy-politics/india-has-received-highest-ever-fdi-of-6437-billion/story/369313.html)

(a) Calculate, to two decimal places, the **annual average value of FDI in $bn** for India from 2016–2019. You are advised to show your working.

(2)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

India is a member of the Asia-Pacific Trade Agreement (APTA). This preferential trade agreement has five members including Bangladesh, China, South Korea and Sri Lanka.

(b) With reference to the data above and your knowledge of economics, analyse the benefits for India from being a member of a trading bloc.

(6)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

In January 2019, the Indian Government approved new legislation that improved and simplified its policy on foreign direct investment (FDI). This helped to attract more multinational corporations (MNCs) to the country.

In 2019, India ranked among the top 10 economies benefitting from FDI. The overall growth of FDI in India was due to its many resources. These include a high degree of specialisation in services and a skilled, English-speaking, low-cost labour force. India also has a potential market of over one billion people.

FDI in India has been focused on chemicals, computer software and hardware, telecommunications, the automobile industry, construction, power and pharmaceuticals.

(Source adapted from: https://www.nordeatrade.com/en/explore-new-market/india/investment)

(c) With reference to the data above and your knowledge of economics, evaluate the benefits of FDI for a country such as India.

(12)

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7. Question 4 · part c · 12 marks

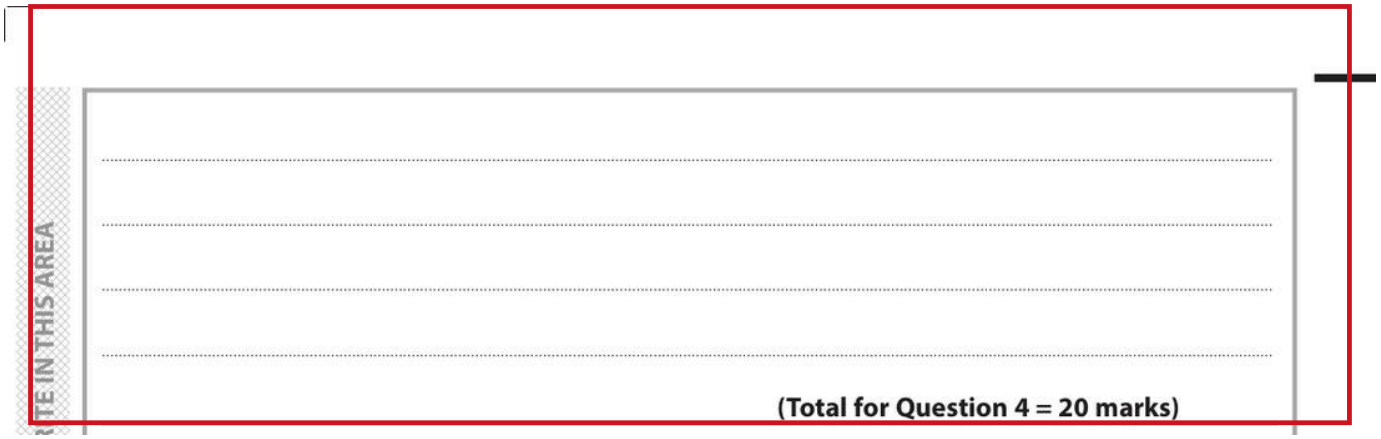
2021 NOV · Paper 02

Further practice · Attempt part c only.

7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.



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7. Question 4 · part c · 12 marks · Working and answer

Working and answer

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8. Question 1 · part a · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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8. Question 1 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

- ☒ **A** the UK pound (£) has appreciated against the US dollar ($)
- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is an example of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** An Indian garment factory selling clothes to the UK
- ☒ **B** The Indian Government investing in the Indian rail network
- ☒ **C** The construction of a factory in India by a Chinese firm
- ☒ **D** An Indian supermarket opening new stores in India

(b) If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then

(1)

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- ☒ **B** US holidays will be cheaper for UK tourists
- ☒ **C** US exports to the UK will be cheaper
- ☒ **D** UK exports to the US will be cheaper

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In November 2020, Pakistan recorded a current account surplus of $1.64bn. This was its fifth consecutive current account surplus.

(c) Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account.

(3)

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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China has been investing in healthcare as the main way to reduce poverty. Over 90% of the medical bills of patients are now paid by the government.

(d) Analyse the benefits of investing in healthcare for a country such as China.

(6)

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10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

In 2021, the UK Government investigated multinational corporations (MNCs) suspected of moving profits made in the UK to other countries. It threatened large penalties for firms that were found guilty of not paying business taxes that were due.

The Government estimated that 2,000 large firms with operations in the UK may owe as much as £34.8bn in tax in the 2019–2020 financial year. This was up from £29.9bn in 2018–2019.

(e) With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country.

(9)

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P 7 1 5 5 8 A 0 1 6 2 4

10. Question 3 · part e · 9 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 3 · part b · 1 mark

2023 JUN · Paper 02

Further practice · Attempt part b only.

3 (a) A decrease in unemployment is likely to result in

(1)

- ☒ **A** a decrease in tax revenues
- ☒ **B** a decrease in economic growth
- ☒ **C** an increase in inflation
- ☒ **D** an increase in relative poverty

(b) Which **one** of the following is a possible disadvantage of Foreign Direct Investment (FDI)?

(1)

- ☒ **A** Increased level of skills
- ☒ **B** Greater environmental damage
- ☒ **C** Higher employment levels
- ☒ **D** Faster economic growth

In December 2021, the US current account deficit increased to $214.8bn. This was the largest deficit since 2006.

(c) Explain **one** reason why an increase in the quality of foreign goods may have resulted in a negative impact on the US current account.

(3)

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11. Question 3 · part b · 1 mark · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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4 Figure 5 shows population data for Kazakhstan in 2022.

	2022
Population	19,700,000
Number of people living in relative poverty	3,063,500

Figure 5

(a) Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working.

(2)

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12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

In 2023, the Kazakhstan Government privatised KTZ, its national railway company. KTZ is the largest employer in Kazakhstan and makes a profit from its operations.

(b) With reference to the data above and your knowledge of economics, analyse the possible disadvantages of the Kazakhstan Government privatising the national railway company.

(6)

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12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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In 2022, Kazakhstan's foreign direct investment (FDI) increased by 17.8% to reach $22.1bn. With its huge amount of natural resources such as oil and gas and agricultural lands, Kazakhstan is the richest country in central Asia.

Sector	Growth in FDI
Manufacturing	36.9%
Retail	32.6%
Transport	20.1%
Mining	11.7%

The top four countries investing in Kazakhstan in 2022 were the Netherlands, the US, Switzerland and Belgium.

According to the Deputy Minister of Foreign Affairs, the growth in FDI reflects foreign investors' confidence in Kazakhstan due to its ongoing government reforms and low costs of production.

(c) With reference to the data above and your knowledge of economics, evaluate the advantages of an increase in foreign direct investment (FDI) for a country such as Kazakhstan.

(12)

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P 7 3 4 9 9 R A 0 1 9 2 4

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Turn over

12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

12. Question 4 · part c · 12 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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13. Question 1 · part a · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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13. Question 1 · part a · 1 mark · Working and answer

Working and answer

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14. Question 1 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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14. Question 1 · part a · 1 mark · Working and answer

Working and answer

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15. Question 3 · part a · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

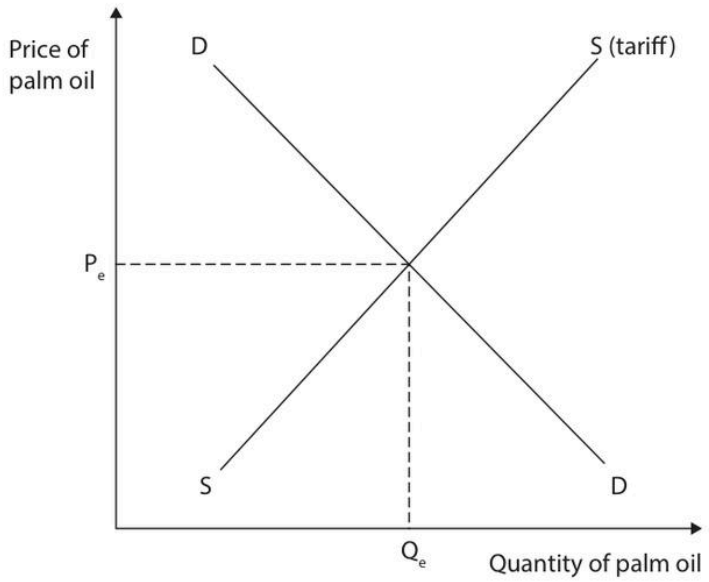

Figure 4

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15. Question 3 · part a · 1 mark · Working and answer

Working and answer

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16. Question 2 · part c · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) Which **one** of the following is a government policy that changes the rate of interest?

(1)

- ☒ **A** Fiscal
- ☒ **B** Supply-side
- ☒ **C** Monetary
- ☒ **D** Exchange rate

(b) Which **one** of the following is an example of deregulation?

(1)

- ☒ **A** Introducing a limit on government salaries
- ☒ **B** Allowing more foreign firms into the domestic market
- ☒ **C** Introducing compulsory employee training requirements
- ☒ **D** Increasing consumer protection laws

(c) State **one** possible advantage of foreign direct investment (FDI) for an economy.

(1)

(d) What is meant by the term indirect tax?

(2)

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16. Question 2 · part c · 1 mark · Working and answer

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

In 2024, a new childcare subsidy was offered to working parents in Northern Ireland.

(c) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

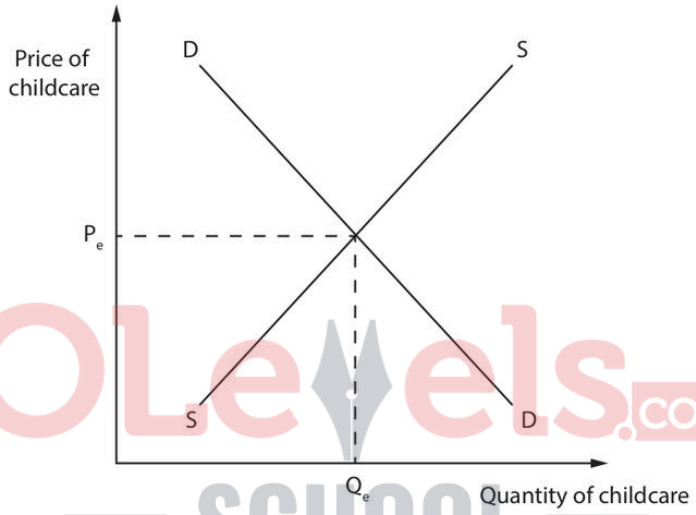

Figure 3

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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Globalisation has transformed the world. Centuries ago, it brought exotic spices and goods from distant parts of the globe. More recently, it has allowed people to work, communicate and travel more easily. Fewer tariffs and quotas are one of the reasons for an increase in globalisation.

(d) With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.

(6)

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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Levi Strauss & Co, a multinational corporation (MNC), has committed to achieving net-zero greenhouse gas emissions by 2050. As part of this goal, the company has introduced innovative water-saving manufacturing processes. One such initiative has saved nearly 13 billion litres of water over nine years.

In 2011, Levi Strauss & Co created a worker wellbeing programme. This provides health education, family welfare programmes and financial empowerment for its clothing workers in its 118 factories across 16 countries.

(e) With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate.

(9)

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17. Question 3 · part e · 9 marks

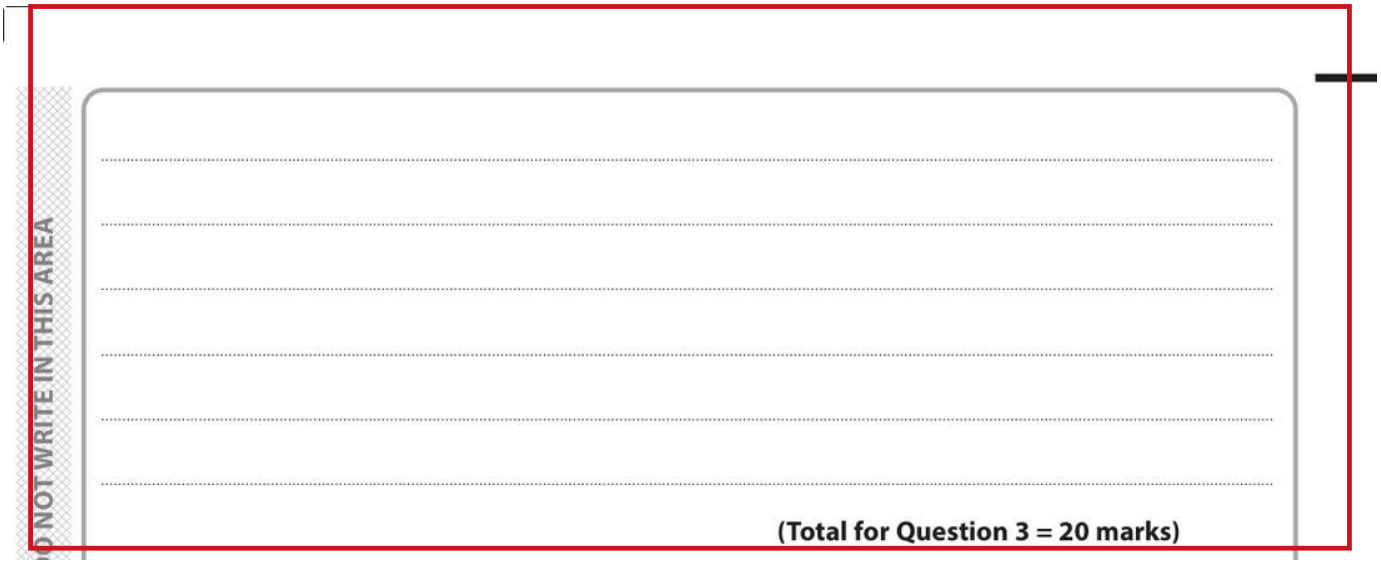
2025 NOV · Paper 02

Further practice · Attempt part e only.

17. Question 3 · part e · 9 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.



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17. Question 3 · part e · 9 marks · Working and answer

Working and answer

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Practice workbook · Tariffs, quotas and subsidies: how they protect, gains and costs

What tariffs, quotas and subsidies are, how each protects domestic producers, and the gains and costs of each (revenue, jobs, competitiveness, higher prices, retaliation, fiscal cost). Includes recognising which supply shift each causes in a multiple-choice diagram.

15 question parts: 1 worked-example retry and 14 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-06

1. Question 3 · part c · 3 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part c only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by indirect taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) Member countries of a trading bloc agree to

(1)

- ☒ **A** trade together with low or no barriers
- ☒ **B** have the same rate of income tax
- ☒ **C** only trade with members within the bloc
- ☒ **D** have common borders between members

Brazil currently only allows a quota of 600 million litres of ethanol per year to be imported from the US.

(c) Explain **one** advantage of using quotas for a country such as Brazil.

(3)

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P 6 5 8 9 8 A 0 1 0 2 0

1. Question 3 · part c · 3 marks

2021 JUN · Paper 02

Worked-example retry · Attempt part c only.

The Slovenian Government spent €3.05bn on healthcare in 2019. This included additional funding for reducing the time people were waiting for treatment and an extra €104m to cover the recent increase in wage rates for healthcare staff.

(d) With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare.

(6)

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1. Question 3 · part c · 3 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

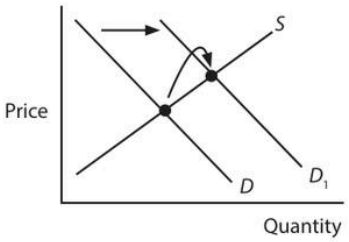
Further practice · Attempt part a only.

2 In 2018, the European Union (EU) trade bloc started to reduce agricultural subsidies to farmers within the EU.

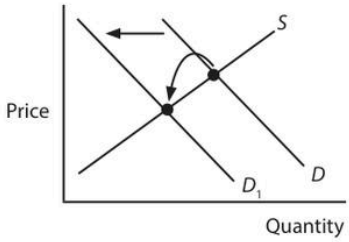
(a) Which **one** of the following diagrams shows the market for agricultural products following the removal of the subsidy?

(1)

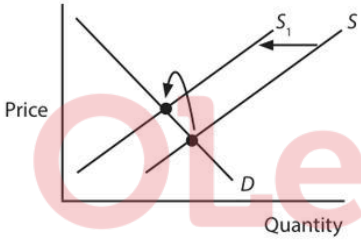
☒ **A**



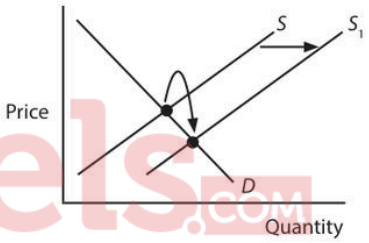
☒ **B**



☒ **C**



☒ **D**



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2. Question 2 · part a · 1 mark

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Which **one** of the following is likely to result from an increase in free trade?

(1)

- ☒ **A** Increased prices
- ☒ **B** Increased choice for consumers
- ☒ **C** Decrease in standards of living
- ☒ **D** Decrease in market opportunities for business

(c) State **one** macroeconomic objective.

(1)

(d) What is meant by the term revaluation?

(2)

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P 5 8 3 8 5 A 0 9 2 4

2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of a good. Label the new curve, the new equilibrium price and quantity.

(3)

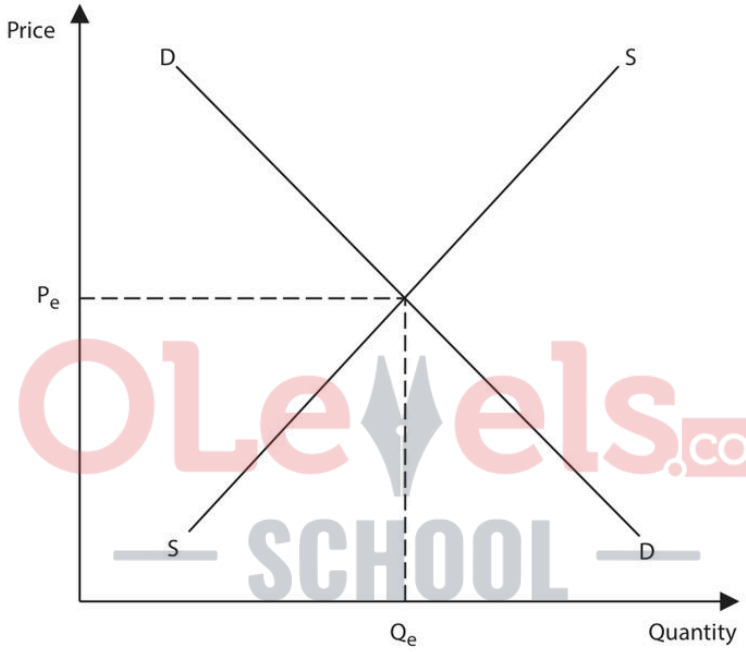

Figure 1

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

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In November 2018, Mexico's current account deficit increased to $5.082bn.

(g) Explain **one** reason why the quality of domestic goods might have resulted in this increase in the current account deficit for Mexico.

(3)

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3. Question 1 · part h · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part h only.

Australia has referred India to the World Trade Organization (WTO) because of the $725m subsidies it pays to its sugar cane farmers.

(h) Analyse why the Indian Government might have given subsidies to its sugar cane farmers.

(6)

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(Total for Question 1 = 20 marks)

3. Question 1 · part h · 6 marks · Working and answer

Working and answer

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4. Question 1 · part b · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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2

P 6 2 0 3 1 A 0 2 2 4

4. Question 1 · part b · 1 mark · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2020 NOV · Paper 02

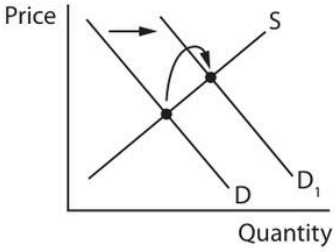
Further practice · Attempt part a only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

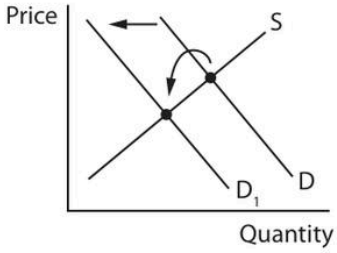
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

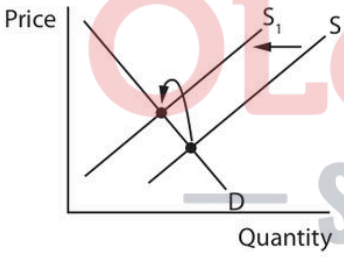
☒ **A**



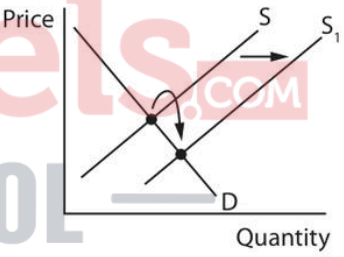
☒ **B**



☒ **C**



☒ **D**



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P 6 2 0 3 1 A 0 7 2 4

7

Turn over ▶

5. Question 2 · part a · 1 mark

2020 NOV · Paper 02

Further practice · Attempt part a only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part b only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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7. Question 1 · part a · 1 mark · Working and answer

Working and answer

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8. Question 3 · part c · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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P 6 5 8 9 9 R A 0 1 0 2 0

8. Question 3 · part c · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

The Government of Bangladesh provides subsidies of between 2% and 4% on the export of clothing. In 2019, it introduced additional subsidies of up to 10% for the export of 10 new products including home appliances.

(c) Explain **one** advantage of using subsidies for a country such as Bangladesh.

(3)

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8. Question 3 · part c · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

A UK environmental group has called for tough action to tackle air pollution, particularly from road transport. It wants the UK Government to impose higher taxation on petrol and diesel fuel for cars and trucks.

(d) With reference to the data above and your knowledge of economics, analyse the advantages of using taxation to help protect the environment in a country such as the UK.

(6)

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8. Question 3 · part c · 3 marks · Working and answer

Working and answer

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9. Question 3 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following describes shoe leather costs?

(1)

- ☒ **A** The costs of raw materials used to make a good or service
- ☒ **B** The costs of communication used by a firm
- ☒ **C** The costs of searching for cheaper suppliers when inflation is high
- ☒ **D** The costs to firms of having to make repeated price changes

(b) Which **one** of the following may cause a current account surplus?

(1)

- ☒ **A** Lower priced foreign goods
- ☒ **B** Higher priced domestic goods
- ☒ **C** Lower import tariffs on foreign goods
- ☒ **D** Higher quality of domestic goods

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9. Question 3 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In 2020, the Kazakhstan Government introduced quotas of 200,000 tonnes on imported wheat and 70,000 tonnes on imported flour.

(c) Explain **one** possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.

(3)

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9. Question 3 · part c · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

In February 2020, Singapore experienced deflation for the first time since January 2010. This was mainly caused by a decline in the price of airfares and holidays due to the government lockdown.

(d) With reference to the data above and your knowledge of economics, analyse the impact of deflation on consumer confidence in a country such as Singapore.

(6)

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9. Question 3 · part c · 3 marks · Working and answer

Working and answer

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10. Question 3 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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10. Question 3 · part c · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The Regional Comprehensive Economic Partnership (RCEP) is the world's largest free trade agreement. It accounts for nearly 30% of global gross domestic product (GDP) and has 15 member countries.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.

(6)

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10. Question 3 · part c · 3 marks · Working and answer

Working and answer

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

1 (a) Which **one** of the following describes the recovery phase of the economic cycle?

(1)

- ☒ **A** GDP is growing at its fastest and business activity increases
- ☒ **B** GDP starts to rise and economic activity is on the increase
- ☒ **C** GDP is still growing but more slowly
- ☒ **D** GDP falls for two successive quarters

(b) Which **one** of the following is an example of frictional unemployment?

(1)

- ☒ **A** A bank cuts jobs during a global recession
- ☒ **B** Workers are unemployed whilst waiting to start a new job
- ☒ **C** Fewer workers are employed on fruit farms in the winter months
- ☒ **D** Factory workers lose their jobs as more machines are used

(c) What is meant by the term exports?

(2)

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

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(d) What is meant by the term globalisation?

(2)

The consumer price index (CPI) was 105.4 in 2021 and it was 100 in the base year 2018.

(e) Calculate how much the **average price level** increased between 2018 and 2021.
You are advised to show your working.

(2)

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

Figure 1 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

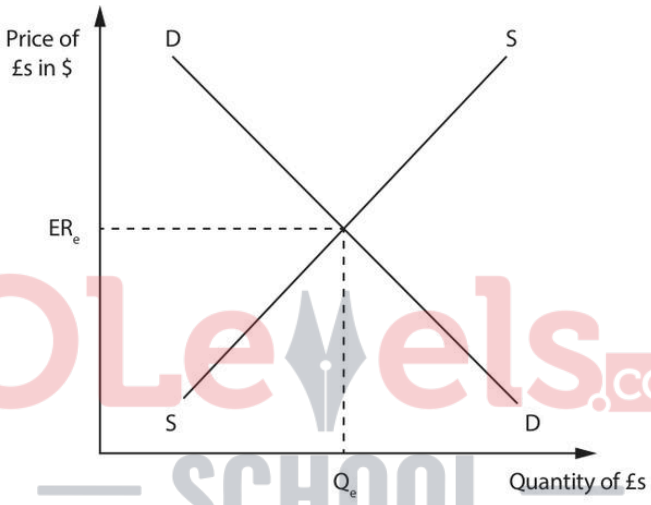

Figure 1

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

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The UK's annual inflation rate was 5.1% in December 2021, its highest rate in a decade. The rise was due to higher prices for transport, food, clothing and footwear.

(g) Explain **one** effect of rising inflation on menu costs in the UK.

(3)

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11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.

In 2022, Columbia maintained its current import quotas for rice. Rice is a staple food in Columbia and many domestic farmers rely on its production.

(h) Analyse the possible benefits for Columbia of having import quotas.

(6)

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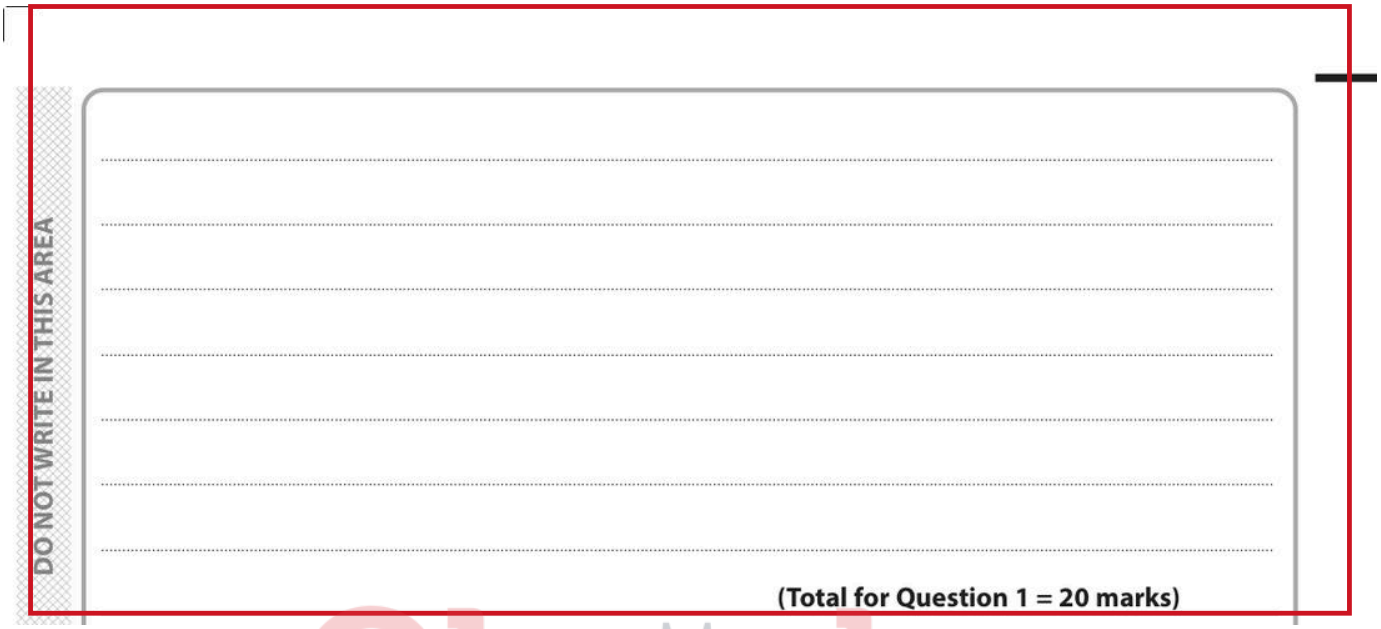
11. Question 1 · part h · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part h only.



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11. Question 1 · part h · 6 marks · Working and answer

Working and answer

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

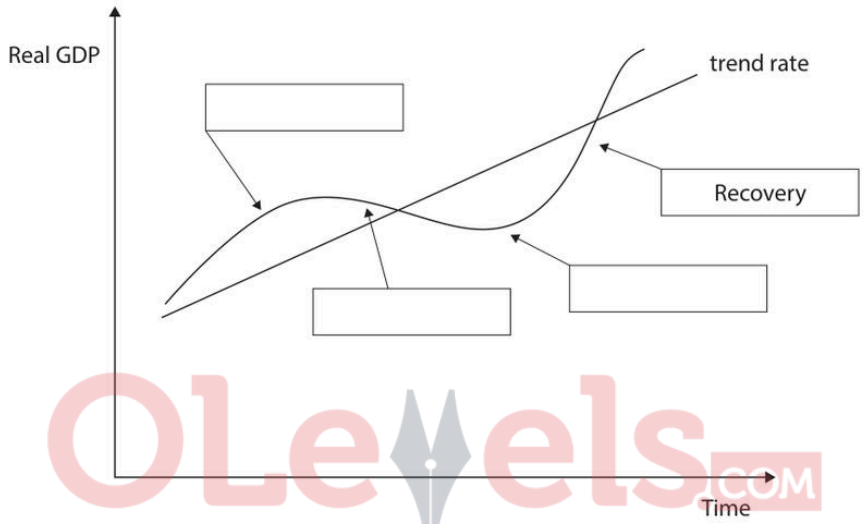

Figure 4

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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The largest manufacturer and exporter of clothing products is China, with 65% of the world's clothing being made there. The second largest country for clothing manufacturing is Bangladesh. Clothing exports make up nearly 85% of Bangladesh's total exports.

(d) With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.

(6)

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Brazilian tyre producers previously had a fall in production caused by an increase in imports. As a result, producers were warning that they might need to stop production, which would result in job losses.

In March 2023, the Brazilian Government put an import tariff on tyres. The tariff on tyres increased from 0% to 16%. A government source said, "The previous government believed in more open trade. The current one has a different view and they think they must protect domestic producers."

(e) With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres.

(9)

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12. Question 3 · part e · 9 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

12. Question 3 · part e · 9 marks · Working and answer

Working and answer

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

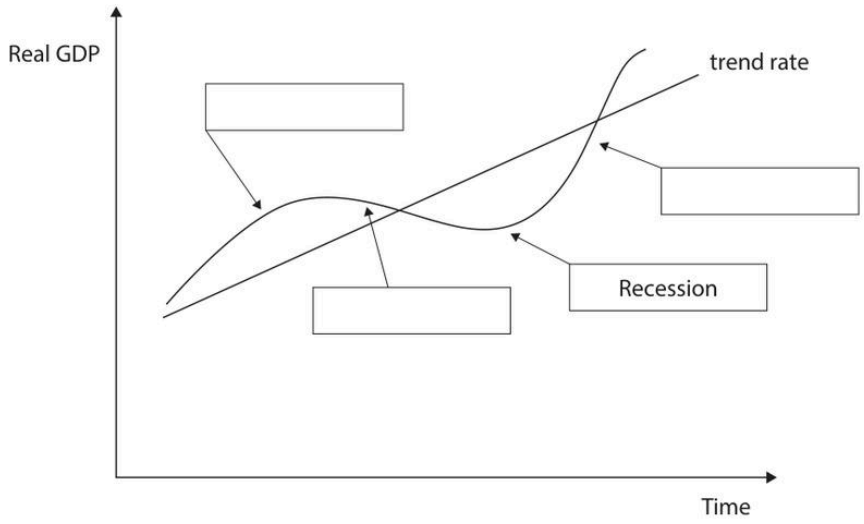

Figure 3

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

In 2022, President Biden introduced legislation to increase investment in green technology in the US. Subsidies of $369bn are given through grants, loans and tax credits to public and private firms.

These subsidies are to be used to increase battery, solar panel and wind turbine production in the US creating new factories and millions of new green jobs in the country.

There is widespread opinion amongst EU and UK politicians and business leaders that US subsidies will have a negative impact on their economies.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology.

(9)

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13. Question 2 · part g · 9 marks

2024 JUN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

13. Question 2 · part g · 9 marks · Working and answer

Working and answer

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14. Question 3 · part a · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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14. Question 3 · part a · 1 mark · Working and answer

Working and answer

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15. Question 1 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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15. Question 1 · part d · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

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(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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15. Question 1 · part d · 2 marks · Working and answer

Working and answer

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Practice workbook · Draw a tariff, subsidy or indirect tax change

Supply and demand diagram showing a tariff or subsidy (for trade protection, green energy or other goods) being introduced, raised, cut or removed as a shift of the supply curve, with the new equilibrium price and quantity labelled.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-07

1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

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(c) What is meant by the term income inequality?

(2)

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1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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1. Question 1 · part f · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part f only.

In January 2023, China introduced a tariff on imports of large tyres.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

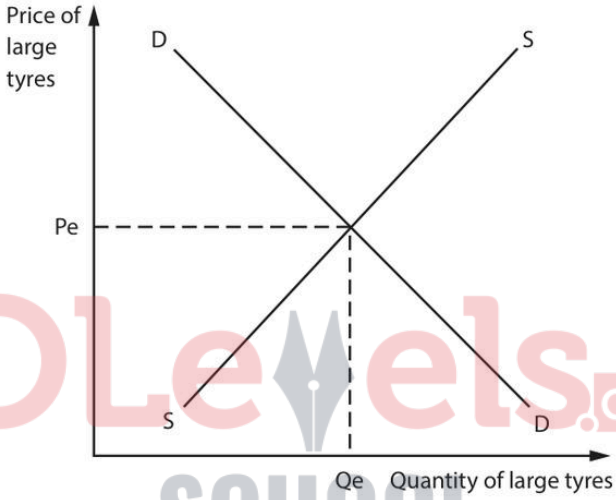

Figure 1

In January 2023, China and Ecuador announced they would be signing a free trade agreement after a year of negotiations. The deal is expected to boost Ecuador's exports of shrimp, bananas, flowers, cocoa and coffee to China.

(g) Explain **one** advantage of free trade for businesses in Ecuador.

(3)

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1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

1 (a) International trade that takes place with no restrictions is known as

(1)

- ☒ **A** globalisation
- ☒ **B** protectionism
- ☒ **C** free trade
- ☒ **D** Foreign Direct Investment

(b) What is the name given to a country's exports and imports of services?

(1)

- ☒ **A** Visible trade
- ☒ **B** Invisible trade
- ☒ **C** Transfer payments
- ☒ **D** The balance of payments

(c) What is meant by the term unemployment?

(2)

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2. Question 1 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

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(d) What is meant by the term trade-off?

(2)

(e) Calculate, to **two** decimal places, the **rate of unemployment** for a country which has a labour force of 72 million of which 8 million are unemployed. You are advised to show your working.

(2)

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2. Question 1 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of a good. Label the new curve, the new equilibrium price and quantity.

(3)

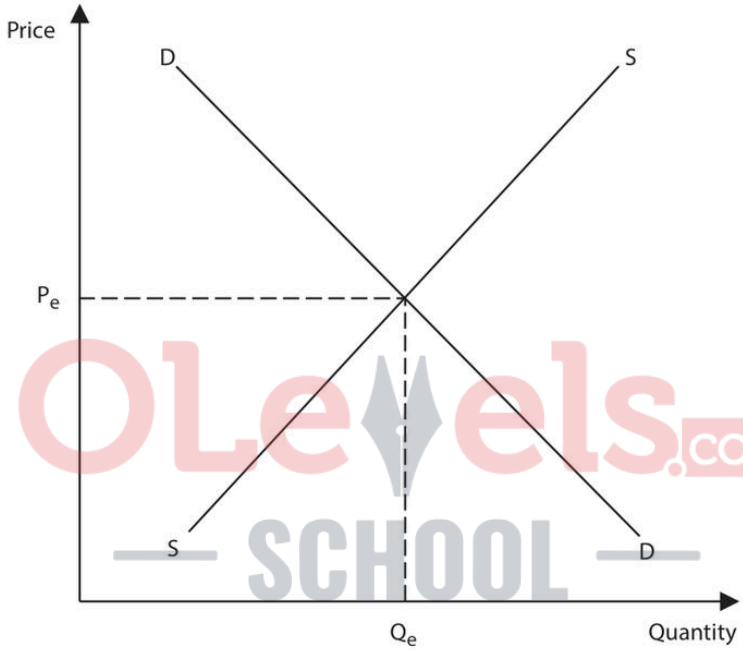

Figure 1

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2. Question 1 · part f · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part f only.

In November 2018, Mexico's current account deficit increased to $5.082bn.

(g) Explain **one** reason why the quality of domestic goods might have resulted in this increase in the current account deficit for Mexico.

(3)

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2. Question 1 · part f · 3 marks · Working and answer

Working and answer

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3. Question 1 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

1 (a) Which type of unemployment occurs when the demand for a product is only at certain times of the year?

(1)

- ☒ **A** Structural
- ☒ **B** Cyclical
- ☒ **C** Seasonal
- ☒ **D** Voltuntary

(b) Which **one** of the following terms refers to a tax on imported goods?

(1)

- ☒ **A** Subsidy
- ☒ **B** Tariff
- ☒ **C** Fine
- ☒ **D** Pollution permit

(c) What is meant by the term recession?

(2)

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3. Question 1 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

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(d) What is meant by the term dumping?

(2)

Figure 1 shows the government revenue and expenditure in rupees crore for India in 2019–2020.

	Indian rupees crore (Rs)
Total revenue	2 080 201
Total expenditure	2 784 200

Figure 1

(e) Calculate the **fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working.

(2)

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3. Question 1 · part f · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part f only.

In 2019, Hungary introduced a subsidy on new cars for families with three or more children.

(f) Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

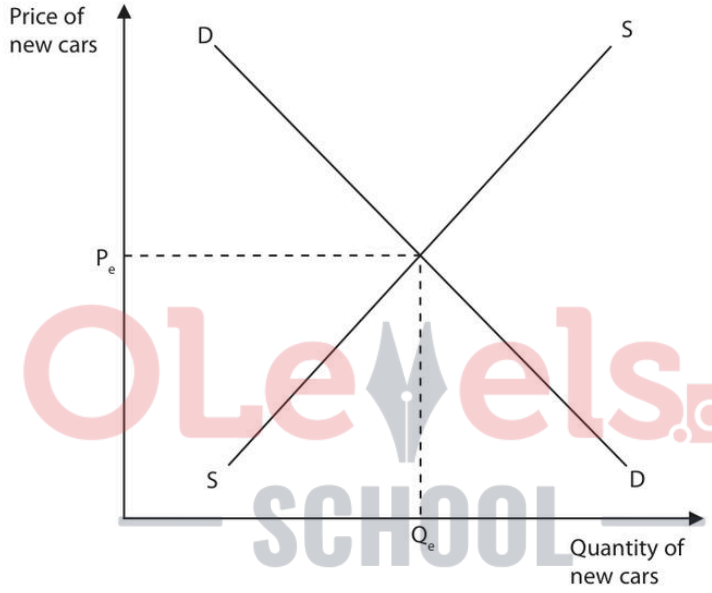

Figure 2

The UK has 13 national parks with the Lake District National Park being the largest and most popular. It had over 19.17 million visitors in 2018. Woodland covers over 12% of the national park.

(g) Explain **one** benefit to the UK Government of providing parks.

(3)

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3. Question 1 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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4. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

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(d) What is meant by the term infant industries?

(2)

In August 2019 Inter Milan, an Italian football club, paid £73m to Manchester United for the transfer of footballer Romelu Lukaku. The exchange rate was £1 = €1.08.

(e) Calculate **the price Inter Milan paid in euros (€)** for the transfer of Romelu Lukaku. You are advised to show your working.

(2)

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4. Question 1 · part f · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part f only.

In December 2019, the USA imposed a 10% tariff on toys imported from China.

(f) Using the diagram below, draw the likely effect of the introduction of this tariff on the equilibrium price and quantity of toys imported from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

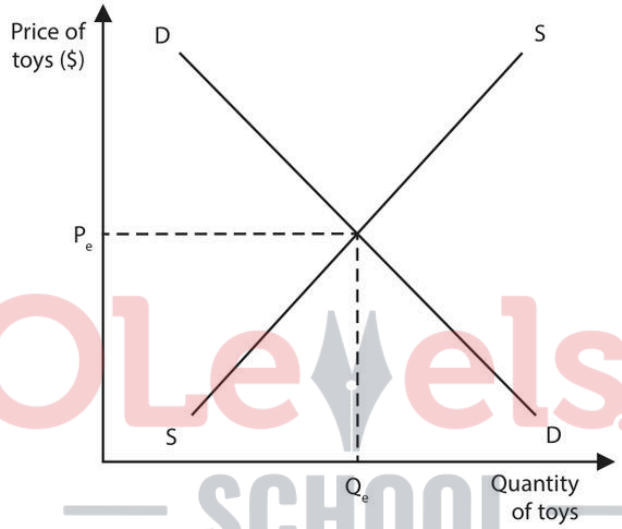

Figure 1

Economic growth in Malaysia increased to 4.9% between April and June 2019.

(g) Explain **one** disadvantage of economic growth for a country such as Malaysia.

(3)

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4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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5. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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5. Question 1 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

In 2020, the UK Government introduced subsidies for firms that provide renewable energy.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

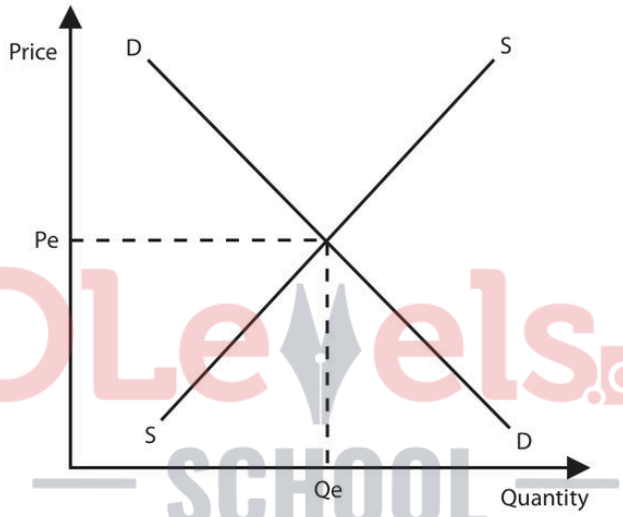

Figure 1

In March 2020, the Bank of England reduced interest rates from 0.75% to 0.10%. This decision affected the UK pound (£).

(g) Explain the likely impact of a decrease in UK interest rates on the UK pound (£).

(3)

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5. Question 1 · part f · 3 marks · Working and answer

Working and answer

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6. Question 1 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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6. Question 1 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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6. Question 1 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

In December 2020, the European Union (EU) decreased the 8% import tariff on lobsters from the US.

(f) Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

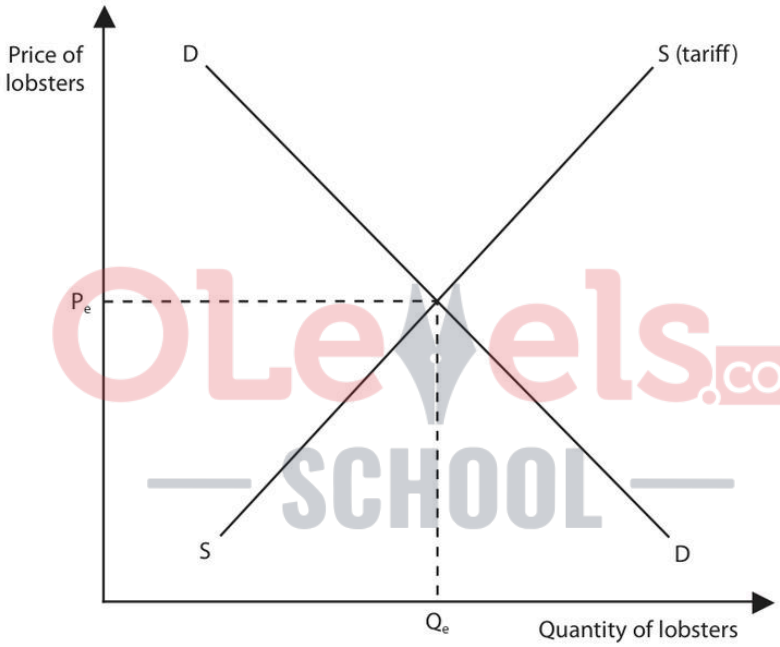

Figure 1

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6. Question 1 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

Mexico's annual inflation rate was 3.4% in 2020. The minimum wage was increased by 20% from 2019.

(g) Explain the impact of wages rising faster than inflation on a country such as Mexico.

(3)

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6. Question 1 · part f · 3 marks · Working and answer

Working and answer

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7. Question 1 · part f · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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7. Question 1 · part f · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

7. Question 1 · part f · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part f only.

In May 2020, China introduced a tariff of 80% on Australian barley.

(f) Using the diagram below, draw the effects of the introduction of a tariff on the equilibrium price and quantity of Australian barley. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

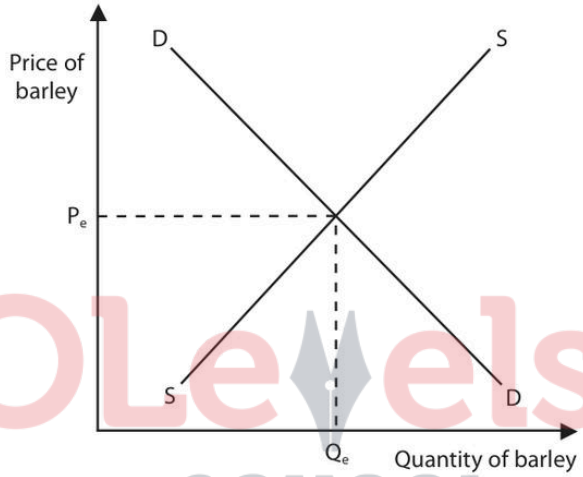

Figure 2

Tourism is a major sector in the French economy. It employs around 2 million people, both directly and indirectly.

(g) Explain **one** reason why some people in the tourism sector might suffer from seasonal unemployment in a country such as France.

(3)

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7. Question 1 · part f · 3 marks · Working and answer

Working and answer

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8. Question 2 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

(d) What is meant by the term current account surplus?

(2)

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8. Question 2 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

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Erasmus is an organisation that provides education and training for young people in Europe. In 2020, it funded over 640,000 educational experiences.

(e) Explain **one** impact education and training may have on inequality and poverty.

(3)

OLevels.COM SCHOOL

8. Question 2 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

In 2021, the Canadian Government introduced subsidies for the purchase of electric vehicles.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

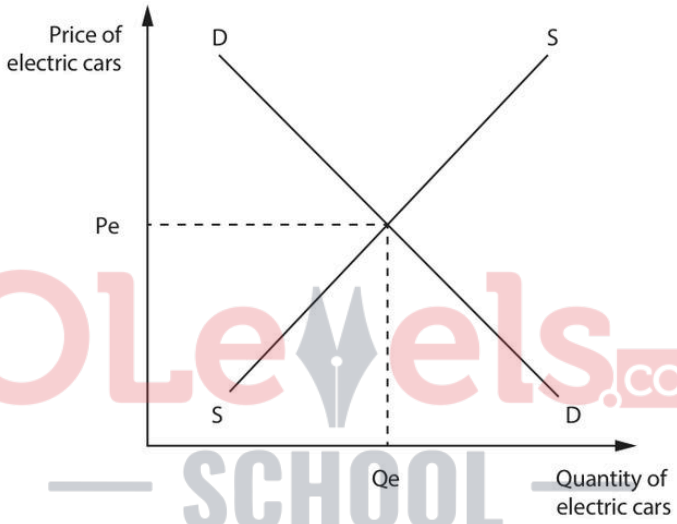

Figure 2

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8. Question 2 · part f · 3 marks

2023 JUN · Paper 02

Further practice · Attempt part f only.

In 2022, the UK Government announced plans to spend over £130bn to improve the economic infrastructure of the country. This included £5.7bn for eight city regions in order to improve transport links between the cities. In addition, £5bn has been allocated to provide super-fast broadband in hard-to-reach areas of the UK.

(Source: https://www.gov.uk/government/news/levelling-up-boost-for-yorkshire-as-new-national-infrastructure-commission-site-announced-in-leeds)

(g) With reference to the data above and your knowledge of economics, assess the impact of infrastructure spending on the productive potential of a country such as the UK.

(9)

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8. Question 2 · part f · 3 marks · Working and answer

Working and answer

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9. Question 1 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a disadvantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Developing capital
- ☒ **B** Investing in infrastructure
- ☒ **C** Creating jobs
- ☒ **D** Environmental damage

(b) Which **one** of the following describes voluntary unemployment?

(1)

- ☒ **A** Unemployment caused by a lack of demand for a particular skill
- ☒ **B** Unemployment caused by changes in the business cycle
- ☒ **C** Unemployment caused by individuals choosing not to work
- ☒ **D** Unemployment caused by seasonal fluctuations in the demand for labour

(c) What is meant by the term monetary policy?

(2)

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9. Question 1 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe **one** advantage of privatisation for a government.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business taxes	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by indirect taxes in February 2023. You are advised to show your working.

(2)

9. Question 1 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

In March 2023, the Government of Ghana announced it was removing fuel subsidies on petroleum.

(f) Using the diagram below, draw the effects of the removal of the fuel subsidy on the equilibrium price and quantity of petroleum in Ghana. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

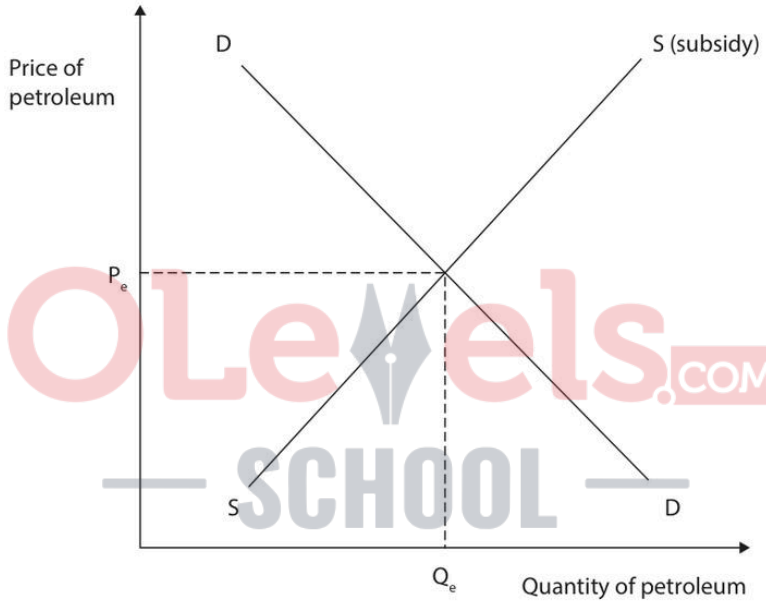

Figure 2

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9. Question 1 · part f · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

In September 2022, the Indian Government deregulated the telecommunications sector. This included reducing the taxes and fees that telecom companies had to pay to the government and allowing more firms to enter the market.

(g) Explain **one** advantage of deregulation for a country such as India.

(3)

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9. Question 1 · part f · 3 marks · Working and answer

Working and answer

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10. Question 3 · part c · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

3 (a) Which **one** of the following is an example of foreign direct investment (FDI)?

(1)

- ☒ **A** A Japanese car company buying an Indonesian car company
- ☒ **B** An Indonesian supermarket buying produce from a farm in India
- ☒ **C** A Malaysian gift shop selling souvenirs to a Malaysian tourist
- ☒ **D** An Australian mining company selling coal to an Indonesian power station

The exchange rate between the US dollar ($) and the British pound (£) is $1 = £0.80

(b) How many US dollars ($) would it take to purchase £150?

(1)

- ☒ **A** $120.00
- ☒ **B** $150.80
- ☒ **C** $187.50
- ☒ **D** $230.00

The UK Government has removed the 12% import tariff on palm oil from Malaysia.

(c) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of palm oil imported into the UK from Malaysia. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

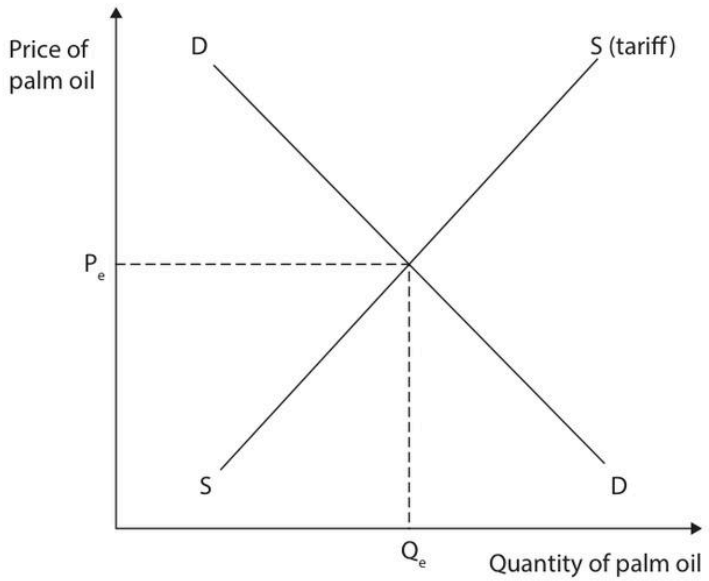

Figure 4

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10. Question 3 · part c · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

Global trade reached a record high of $29 trillion in 2022. It has continued to grow, although at a slower rate since the global health crisis.

(d) With reference to the data above and your knowledge of economics, analyse the possible benefits for consumers of globalisation.

(6)

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Turn over ▶

10. Question 3 · part c · 3 marks · Working and answer

Working and answer

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11. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

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11. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

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11. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

In August 2024, India removed a tariff on imports of tomatoes from Nepal.

(f) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

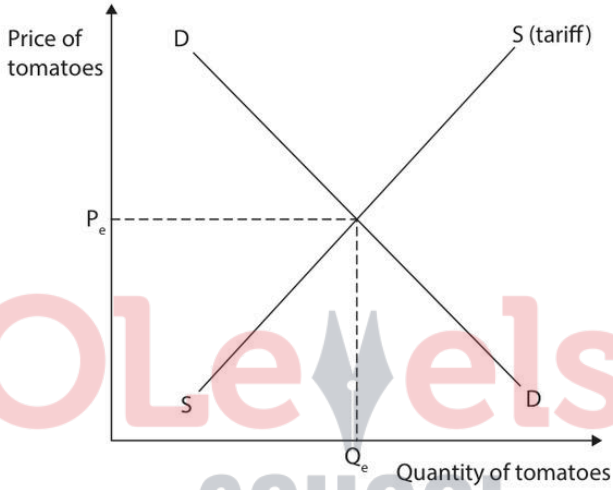

Figure 2

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11. Question 1 · part f · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part f only.

In Singapore, the government fined a construction company $1m for breaking safety laws that led to the death of a worker. The company had failed to provide adequate safety equipment and training for its workers.

(g) Explain **one** reason why governments use fines.

(3)

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11. Question 1 · part f · 3 marks · Working and answer

Working and answer

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12. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) Which **one** of the following is an example of seasonal unemployment?

(1)

- ☒ **A** A farm worker having no work due to automation
- ☒ **B** A construction worker not finding work during the monsoon period
- ☒ **C** A skilled worker unable to find employment due to a recession
- ☒ **D** A person choosing not to work and being paid welfare benefits

(b) Which **one** of the following is likely to cause cost-push inflation?

(1)

- ☒ **A** An increase in consumer demand for goods and services
- ☒ **B** A decrease in taxes on business profits
- ☒ **C** An increase in the prices of raw materials paid by producers
- ☒ **D** A decrease in interest rates set by the central bank

(c) What is meant by the term current account deficit?

(2)

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P 7 2 1 3 5 A 0 2 2 8

12. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe **one** benefit to a country of using quotas for imported goods.

(2)

(e) Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working.

(2)

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12. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

In January 2024, China introduced a 6% tariff on coal from Russia, South Africa, Mongolia and the US.

(f) Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

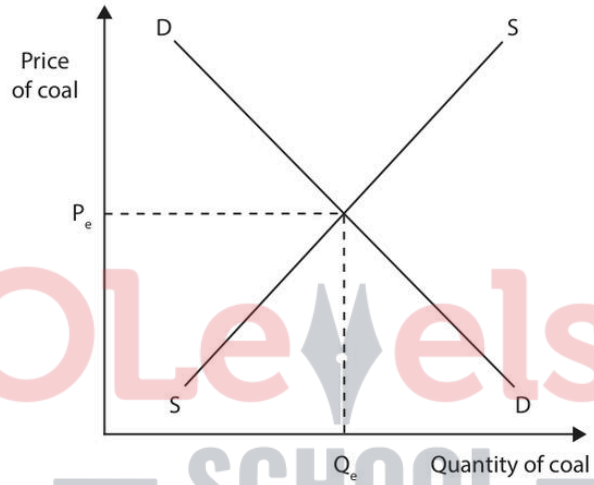

Figure 1

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12. Question 1 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

The UK Government allocates pollution permits to airlines such as easyJet and British Airways as part of its environmental strategy. The government reduces the total number of allocated pollution permits every year.

(g) Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK.

(3)

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12. Question 1 · part f · 3 marks · Working and answer

Working and answer

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13. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

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13. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** impact on consumers of an increase in interest rates.

(2)

Figure 1 shows imports and exports for a country in €bn.

	€bn
Exports of goods	150
Exports of services	40
Imports of goods	120
Imports of services	30

Figure 1

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

(2)

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13. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

In 2024, France announced a €4bn subsidy package to support the production of hydrogen.

(f) Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

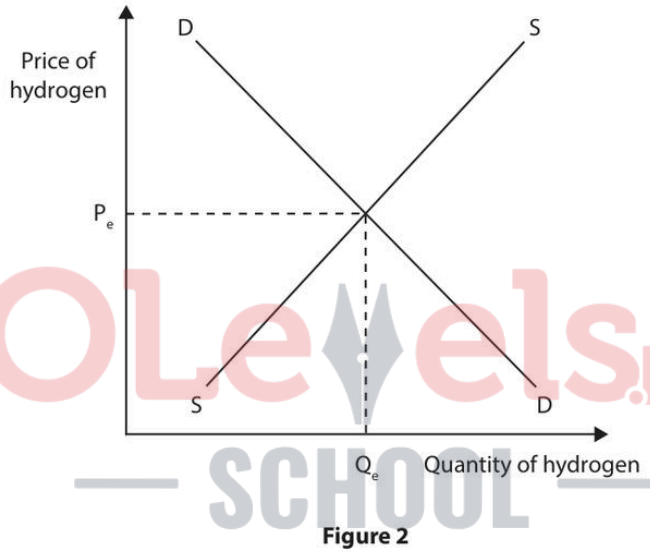

Figure 2

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13. Question 1 · part f · 3 marks

2025 JUN · Paper 02

Further practice · Attempt part f only.

In December 2023, Portugal reported a fiscal surplus of €6.2bn, which was €3.4bn higher than 12 months before.

(g) Explain **one** possible benefit of a fiscal surplus for a country such as Portugal.

(3)

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P 7 2 1 3 4 A 0 5 2 8

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Turn over ▶

13. Question 1 · part f · 3 marks · Working and answer

Working and answer

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14. Question 2 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

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14. Question 2 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

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The Swedish economy has been in recession since 2023 and is expected to remain in recession until 2025. As a result, the demand for labour has fallen which has caused unemployment to increase.

(e) Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden.

(3)

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14. Question 2 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

In 2024, the European Union (EU) increased the tariff on all electric vehicles imported from China from 10% to 37.6%.

(f) Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

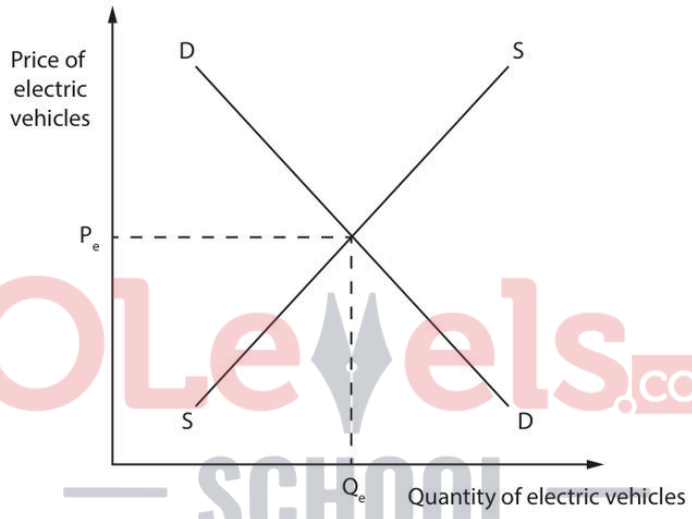

Figure 2

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14. Question 2 · part f · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part f only.

In August 2024, the central bank in New Zealand reduced the official base rate from 5.5% to 5.25%. It was the first cut since March 2020. New Zealand was no longer in recession but economic conditions were still difficult.

An economist from the Bank of New Zealand (BNZ) said a reduction was already overdue. "The New Zealand economy is struggling under the pressure of extremely tight monetary conditions, rising unemployment, reduced investment activity and weak consumer confidence."

(g) With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand.

(9)

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14. Question 2 · part f · 3 marks · Working and answer

Working and answer

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15. Question 3 · part c · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

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P 7 8 9 6 3 A 0 1 3 2 8

13

Turn over ▶

15. Question 3 · part c · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

In 2024, a new childcare subsidy was offered to working parents in Northern Ireland.

(c) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

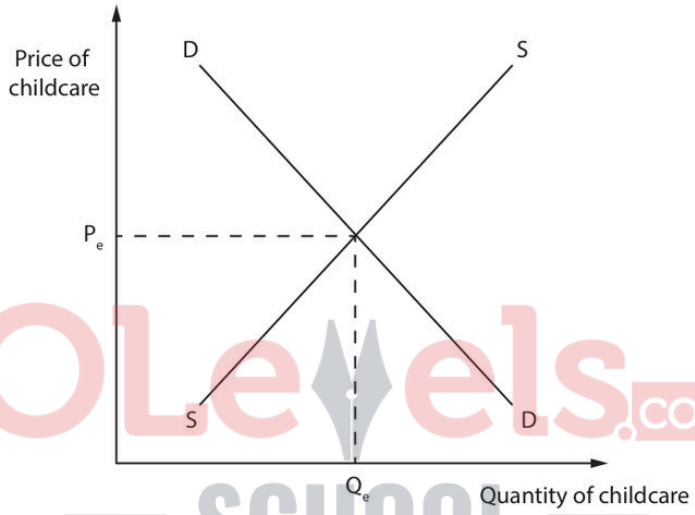

Figure 3

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15. Question 3 · part c · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

Globalisation has transformed the world. Centuries ago, it brought exotic spices and goods from distant parts of the globe. More recently, it has allowed people to work, communicate and travel more easily. Fewer tariffs and quotas are one of the reasons for an increase in globalisation.

(d) With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.

(6)

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15. Question 3 · part c · 3 marks · Working and answer

Working and answer

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16. Question 1 · part g · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

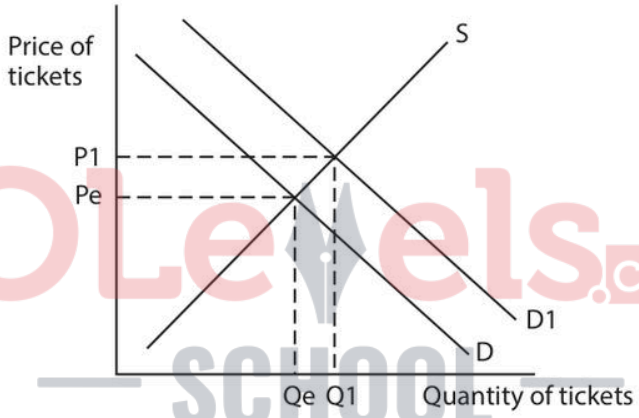

Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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16. Question 1 · part g · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

16. Question 1 · part g · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

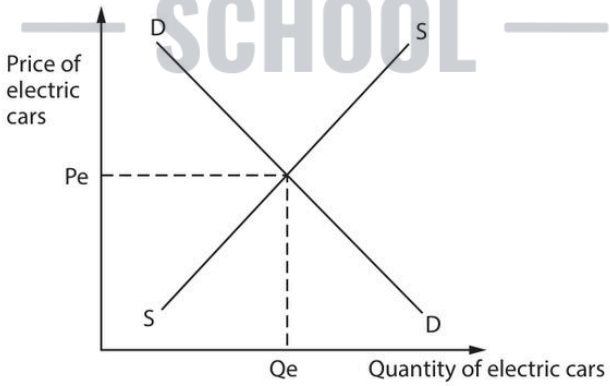

Figure 2

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16. Question 1 · part g · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part g only.

The Brazilian Government announced plans to privatise one of its state-owned food companies.

(h) Explain **one** possible advantage of privatisation for consumers in Brazil.

(3)

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16. Question 1 · part g · 3 marks · Working and answer

Working and answer

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17. Question 1 · part g · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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17. Question 1 · part g · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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17. Question 1 · part g · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Using the diagram below, draw the effects on the equilibrium price and quantity after the government removes an indirect tax on sustainable fuel. Label the new curve, the new equilibrium price and quantity.

(3)

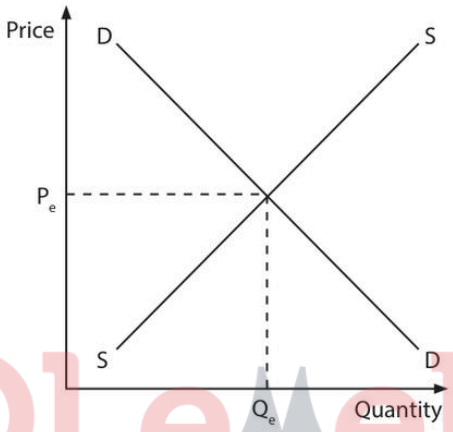

Figure 1

A firm has decided to purchase a new computer system.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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17. Question 1 · part g · 3 marks · Working and answer

Working and answer

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18. Question 1 · part g · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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P 7 2 9 6 7 A 0 2 2 4

18. Question 1 · part g · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

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18. Question 1 · part g · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part g only.

Figure 1 shows the market for solar panels.

(g) Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

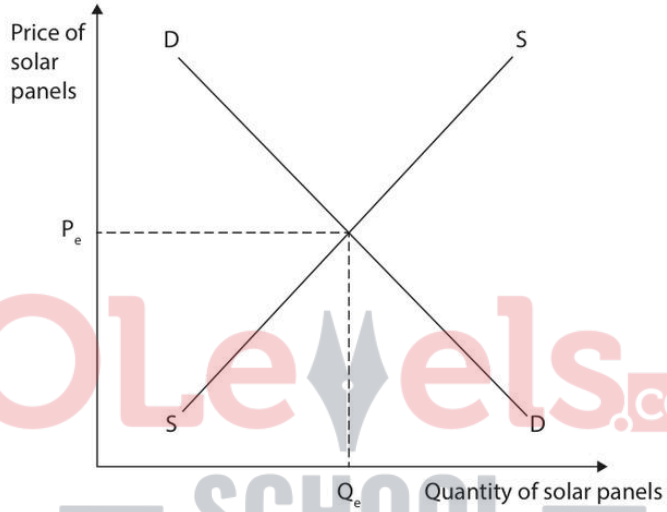

Figure 1

Casper has decided to purchase a new television.

(h) Explain **one** possible opportunity cost for Casper of this decision.

(3)

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18. Question 1 · part g · 3 marks · Working and answer

Working and answer

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Practice workbook · Draw the effect of an import quota

Supply and demand diagram where a quota is shown as a vertical supply line at the permitted quantity, including a new quota and a quota being tightened or relaxed.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-08

1. Question 1 · part f · 3 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following is an advantage of multinational corporations (MNCs) operating in a country?

(1)

- ☒ **A** Avoiding paying taxes
- ☒ **B** Environmental damage
- ☒ **C** Developing skills
- ☒ **D** Moving profits abroad

(b) Which **one** of the following is a measurement of gross domestic product (GDP)?

(1)

- ☒ **A** Total value of goods and services traded within an economy
- ☒ **B** Total value of goods and services produced within an economy
- ☒ **C** Total value of goods and services exported by an economy
- ☒ **D** Total value of goods and services imported by an economy

(c) What is meant by the term the current account on the balance of payments?

(2)

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1. Question 1 · part f · 3 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part f only.

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(d) Describe **one** way business activity can damage the environment.

(2)

Figure 1 shows selected UK Government receipts from taxation in February 2023.

	£bn
Income tax	20.0
Sales tax (VAT/GST)	14.3
Business tax	7.6
Excise duties	3.7
Customs duties	0.4

Figure 1

(e) Calculate the **total amount of revenue** in £bn raised by direct taxes in February 2023. You are advised to show your working.

(2)

1. Question 1 · part f · 3 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part f only.

In January 2023, China introduced a quota on imports of crude oil into the country.

(f) Using the diagram below, draw the effects of the introduction of the quota on the equilibrium price and quantity of crude oil in China. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

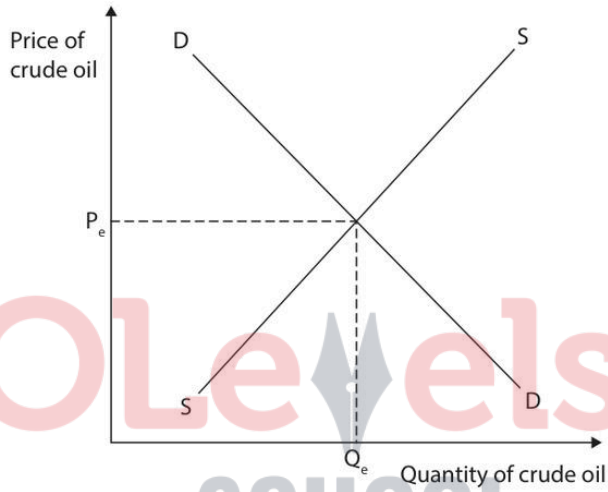

Figure 2

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1. Question 1 · part f · 3 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part f only.

In 2021, the global economy experienced a period of rapid growth. This growth was accompanied by rising inflation in many parts of the world due to problems with the supply of goods.

(g) Explain **one** reason why there may be a link between economic growth and inflation for an economy.

(3)

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1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

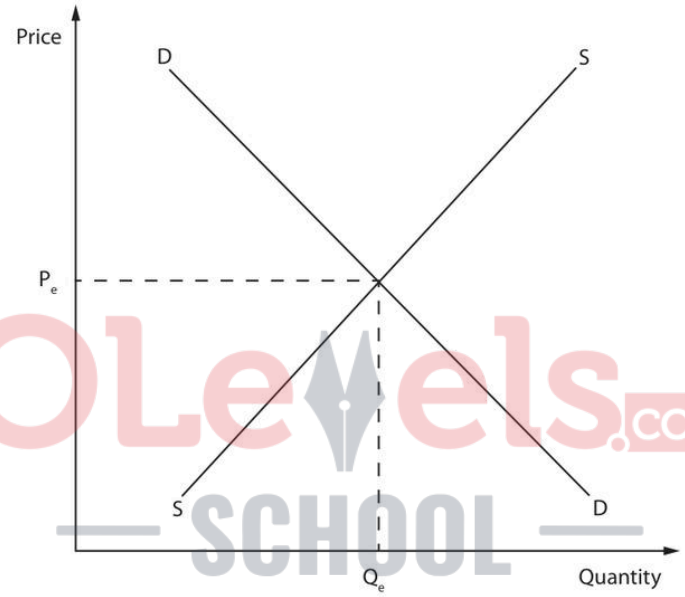

Figure 1

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2. Question 1 · part f · 3 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

In 2017 the US government wanted to introduce a 300% tariff on imported aircraft made by Canadian manufacturer Bombardier.

(g) Explain **one** way the World Trade Organisation could promote free trade between countries such as Canada and the US.

(3)

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2. Question 1 · part f · 3 marks · Working and answer

Working and answer

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3. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) What type of unemployment is likely to be caused by generous welfare benefits?

(1)

- ☒ **A** Seasonal
- ☒ **B** Cyclical
- ☒ **C** Voluntary
- ☒ **D** Structural

(b) What name is given to the phase in the economic cycle when consumers start to regain confidence and economic activity is on the increase?

(1)

- ☒ **A** Boom
- ☒ **B** Downturn
- ☒ **C** Recession
- ☒ **D** Recovery

(c) What is meant by the term central bank?

(2)

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3. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe **one** disadvantage of free trade for domestic businesses.

(2)

Figure 1 shows the income tax rates for Cyprus in 2018. George earns €21 000 as a manager. This means George only pays tax on €1 500.

Taxable income (€)	Tax rate (%)
0 to €19 500	0%
€19 501 – €28 000	20%

Figure 1

(e) Calculate the **net pay** in euros (€) for George. You are advised to show your working.

(2)

3. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) Using the diagram below, draw the effect of the introduction of a new quota that is less than the original quota. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

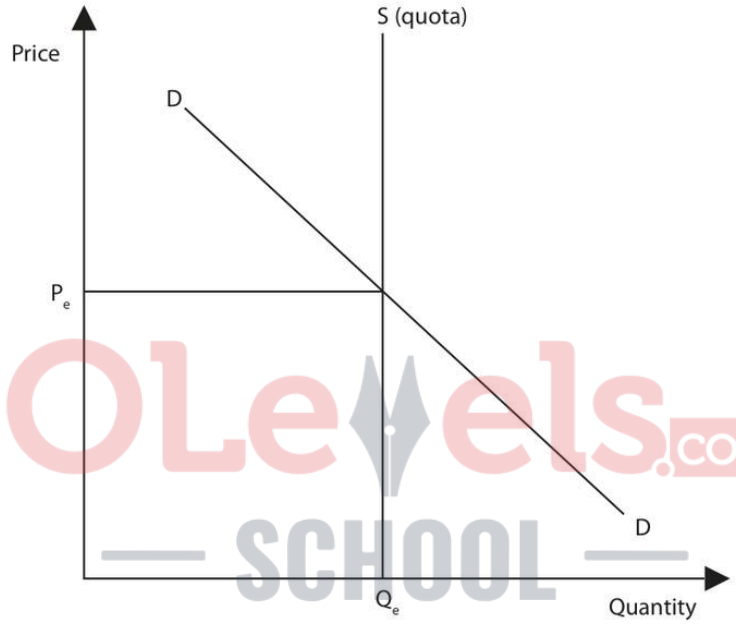

Figure 2

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3. Question 1 · part f · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part f only.

Mexico plans to increase the country's minimum wage by 16% to $5.10 a day.
Mexico's President promised further rises to keep up with the high rates of inflation.

(g) Explain the impact of high rates of inflation on wages in a country such as Mexico.

(3)

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3. Question 1 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

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4. Question 1 · part f · 3 marks

2022 JUN · Paper 02

Further practice · Attempt part f only.

In December 2019, the UK and the European Union (EU) negotiated North Sea fishing quotas for 2020. It was agreed to increase the fishing quota for haddock by 30%.

(f) Using the diagram below, draw the effects of the introduction of the new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

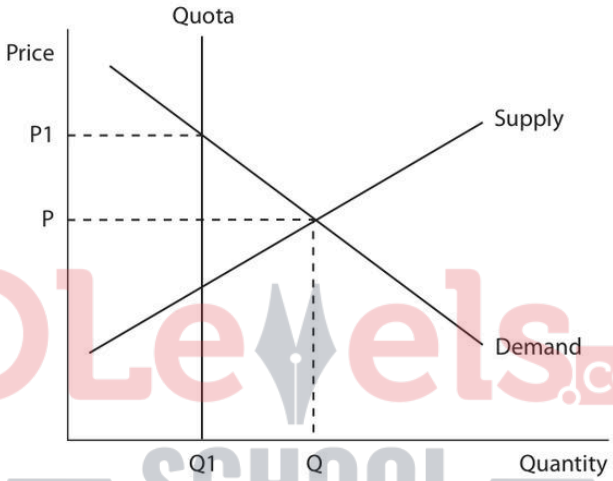

Figure 2

Norway had a current account surplus of 19.07bn Norwegian Krone (NOK) in the fourth quarter of 2019.

(g) Explain **one** possible reason why a country such as Norway had a current account surplus.

(3)

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4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 2 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) Which type of unemployment would result from the permanent closure of a coal mine?

(1)

- ☒ **A** Seasonal
- ☒ **B** Voluntary
- ☒ **C** Structural
- ☒ **D** Cyclical

(b) What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum?

(1)

- ☒ **A** £21
- ☒ **B** £210
- ☒ **C** £2 333
- ☒ **D** £7 210

(c) State **one** advantage of free trade.

(1)

(d) What is meant by the term pollution permits?

(2)

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5. Question 2 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

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An airport is a key part of most large urban areas. They are usually found on the edge of cities and are often surrounded by houses.

(e) Explain **one** way an airport can cause damage to the environment.

(3)

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5. Question 2 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

China announced that in 2021 it would increase its import quota for crude oil by 20%.

(f) Using the diagram below, draw the effect of the introduction of the new quota.
Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

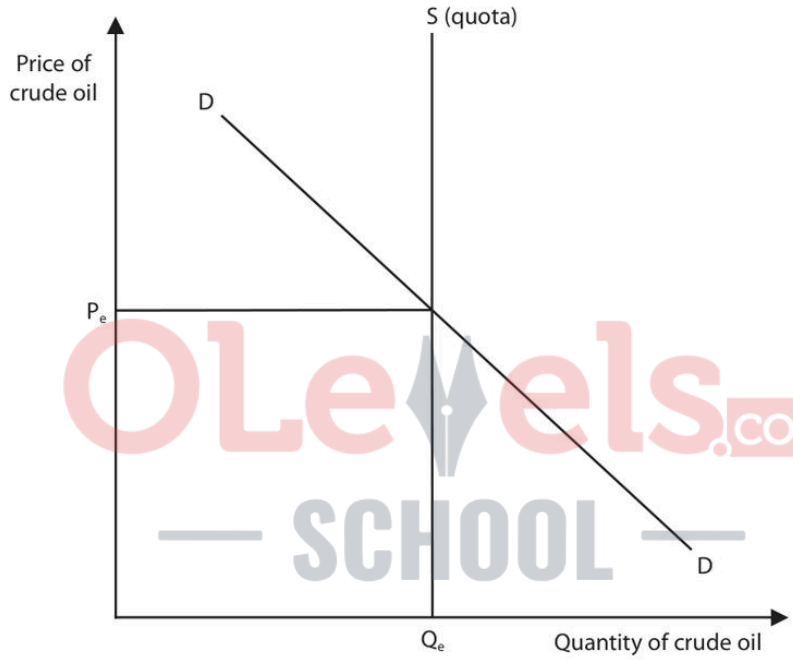

Figure 2

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5. Question 2 · part f · 3 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part f only.

In 2021, Thames Water was fined £2.3m after being found guilty of polluting a stream in 2016. The pollution killed more than 1,000 fish.

The total amount in fines paid by Thames Water since 2017 was £24.4m for 9 separate cases of water pollution. In 2020, Thames Water made an operating profit of £513.4m.

(Source: https://www.gov.uk/government/news/thames-water-fined-23-million-for-foreseeable-pollution)

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK.

(9)

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5. Question 2 · part f · 3 marks · Working and answer

Working and answer

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6. Question 2 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

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(d) What is meant by the term devaluation?

(2)

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7

Turn over ▶

6. Question 2 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

US President Joe Biden recently signed a deal to fund 32,000 kilometres of new roads and 10,000 new bridges to improve the US infrastructure.

(e) Explain **one** way government spending on infrastructure can benefit an economy such as the US.

(3)

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6. Question 2 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

In 2021, the UK and Norway agreed to increase fishing quotas by 20% for 2022.

(f) Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

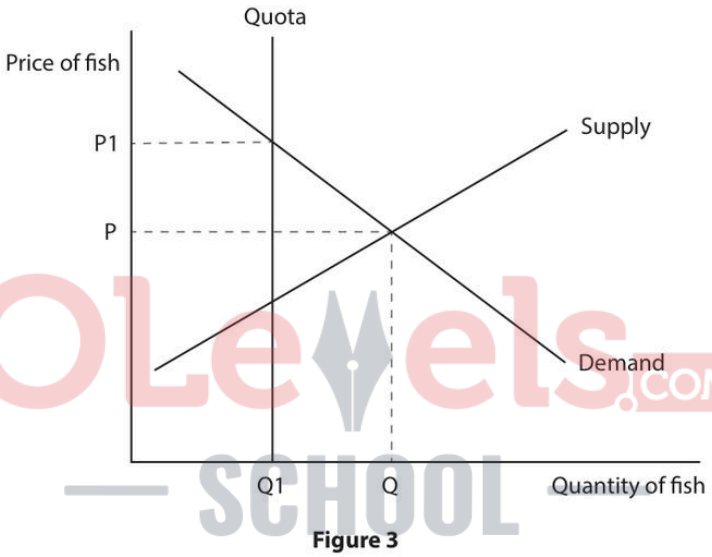

Figure 3

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6. Question 2 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

San Francisco, a city in the US, raises its own taxes and plans its own spending. It expects its budget to have a fiscal surplus for the first time since 1998. The city is expecting this surplus to be $108m.

"Over the last two years, while we have invested heavily in key priorities like homelessness and mental health, we have also made smart budgeting decisions, and this surplus is a result of that work," said the Mayor of San Francisco.

The Mayor has not decided where to spend the surplus, but this week called for more funding for police and to improve public safety.

(Source: https://www.sfchronicle.com/sf/article/S-F-expects-first-budget-surplus-in-over-20-16705136.php)

(g) With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco.

(9)

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6. Question 2 · part f · 3 marks · Working and answer

Working and answer

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